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THINK Economic and Financial Analysis

Bank Sector Outlook 2027

October 2026

High supply meets a changing financial landscape



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Summary

European banks face another year of high bond supply in 2027, alongside growing sustainable issuance and a shifting financial landscape shaped by AT1s, stablecoins and regulatory reform

- **Bank bond supply.** We expect EUR bank bond supply to reach €450bn in 2027, down slightly from the €455bn forecast for 2026. Redemptions remain the main driver of the high supply, but the modest macroeconomic outlook is not expected to push supply up any further. We foresee covered bond issuance reaching €185bn, senior unsecured bond supply at €210bn and another €55bn in subordinated bank bonds.
- **Sustainable bank bond supply set for further growth in 2027.** Banks issued a higher-than-expected amount of sustainable debt in 2026 despite Europe's ESG deregulation efforts. We expect sustainable bank bond supply to continue rising, reaching €100bn in 2027, up 7.5% from 2026. Green issuance will remain dominant at €85bn, with 20% issued under the EU Green Bond Standard (EuGBS). Sustainable loan origination, higher redemptions, revisions to the EU Taxonomy's technical screening criteria and resilient investor demand will continue to support ESG issuance.
- **Bank capital – Why AT1 still matters in 2027.** AT1 bank bonds will remain an important part of European banks' capital stacks in 2027, with meaningful reform still on the back burner. Bonds being called at their first call date remains our base case, despite extension risk having risen recently. We expect EUR AT1 supply to rise to €20bn, with EUR Tier 2 increasing to €35bn, largely driven by refinancing, while net supply is relatively modest. Valuations have improved but still remain at the tighter end, while risks are becoming more visible. The yield should continue to support demand. Lower reset levels, renewed sovereign-bank concerns, and a softening of bank fundamentals could bring more issuer and structure dispersion next year
- **M&A.** European bank M&A has seen a resurgence in recent years, and 2027 should stay busy. Domestic deals still dominate, while cross-border consolidation is harder but is also picking up as the Unicredit-Commerzbank transaction has shown. Regulation is becoming more supportive, but politics and execution still matter. Expect more deals, but a transformation of Europe's banking sector is still some way off.
- **Stablecoins**. Stablecoins' market capitalisation grew significantly over the past two years, and with this has come widespread scrutiny. Upon broad adoption, the crypto asset could have multiple impacts, including on European banks. This could imply a shift in their funding base, negative impact on credit provisions, as well as spillover risks. However, the sector could also benefit from the technology, notably by issuing its own tokens. Several regulatory changes expected in 2027 could alter the impact of stablecoins on banks. Despite the multiple risks identified, one should not expect banks to surrender ground to fintech issuers without a fight.
- **Solvency II reforms: limited support for bank bonds, while securitisation gains some ground.** The Solvency II amendments will apply from 30 January 2027, making the reforms a key regulatory theme for 2027. A central aim is to free up capital and promote long-term investments by European insurers, supporting Europe's Savings and Investment Union. This could also give insurers greater scope to invest in bonds. However, we don't expect any material reallocation towards bank bonds. Securitisations should benefit most directly from a more favourable capital treatment, while covered bonds and unsecured bank bonds should benefit mainly indirectly from lower overall capital requirements for insurers.

Bank bond supply to stay at cruising altitude in 2027

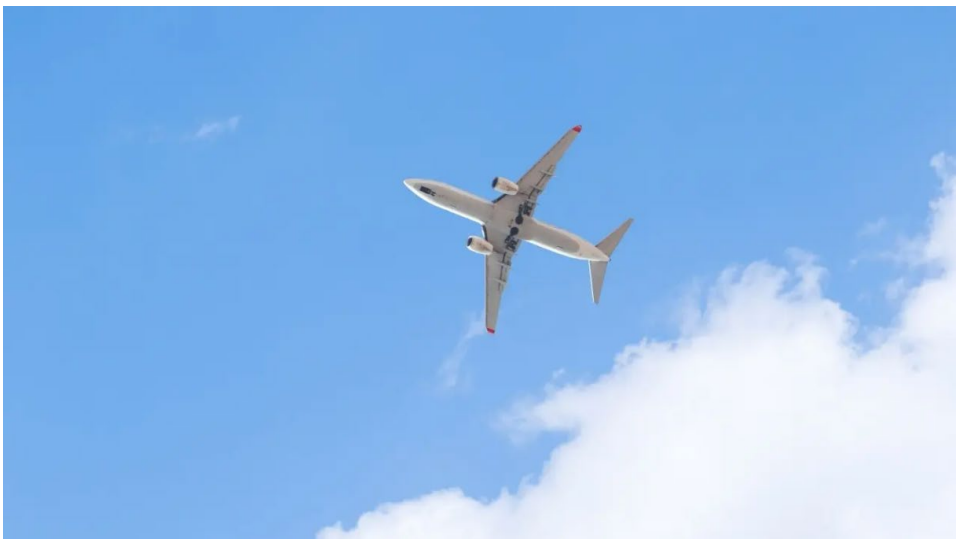
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Marine Leleux
Sector Strategist, Financials
marine.leleux2@ing.com



Jesse Norcross
Senior Sector Strategist, Real Estate
jesse.norcross@ing.com



High redemption volumes are expected to keep EUR bank bond supply elevated in 2027

Variables driving next year's bank bond supply

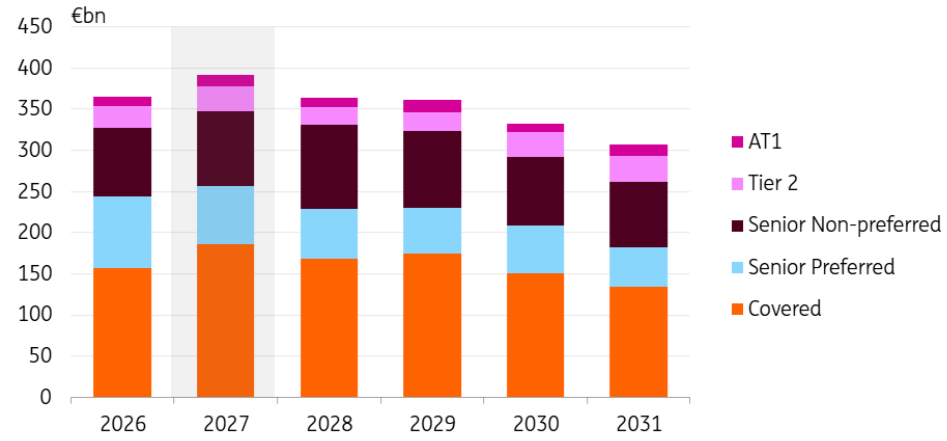
We expect EUR bank bond supply to reach €450bn in 2027, down slightly from the €455bn forecast for 2026. In our view, several variables will be steering next year's issuance.

Redemptions will remain the central driver of the elevated 2027 bank bond supply forecast. Nearly €400bn of bonds mature in 2027, up €30bn year-on-year and the highest level in a decade. The increase is especially significant in the covered bond segment where €186bn will mature, a historic high.

The subordinated segment will also rise, with redemptions totalling €45bn, up about €6bn from 2026. Of this total, €31bn is in Tier 2 instruments and €14bn in AT1s. The senior unsecured segment will partially offset these increases, with total redemptions reaching more than €162bn, down from more than €170bn recorded this year. The majority stems from senior bail-in bonds (senior non-preferred or senior HoldCo) with more than €90bn and an additional €71bn maturing in senior preferred instruments.

Despite diverging trends across segments, elevated redemption volumes remain the main driver of bank issuance in the euro bond primary market, as institutions refinance maturing instruments.

Bank bond redemptions per segment

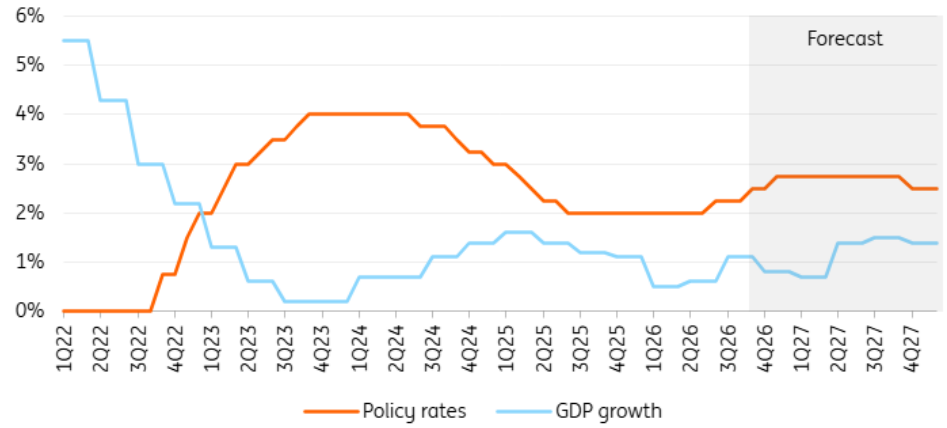


Source: ING

While high redemption levels point to stronger supply in 2027, other factors also play a role, such as the macroeconomic environment. Eurozone GDP growth is forecast to increase slightly in the second half of next year to reach 1.5%, still well below levels seen after the pandemic.

Furthermore, our economists pencil in an additional European Central Bank rate hike in 2026, bringing policy rates to 2.75% in early 2027. The higher interest rate environment is not expected to support lending growth, especially as geopolitical instability remains. As a result, we do not see the modest macroeconomic backdrop acting as a catalyst for bank bond supply in 2027.

Policy rates and GDP growth forecasts



Source: ING

Asset swap spread levels initially proved very resilient to geopolitical instability and related economic changes this year. Despite some volatility in March, following the outbreak of the US-Israel conflict with Iran, spread levels recovered quickly and reached levels close to their historic low. However, a broader escalation of the conflict across the Middle East, coupled with the absence of a clear path to resolution, could put further pressure on spreads.

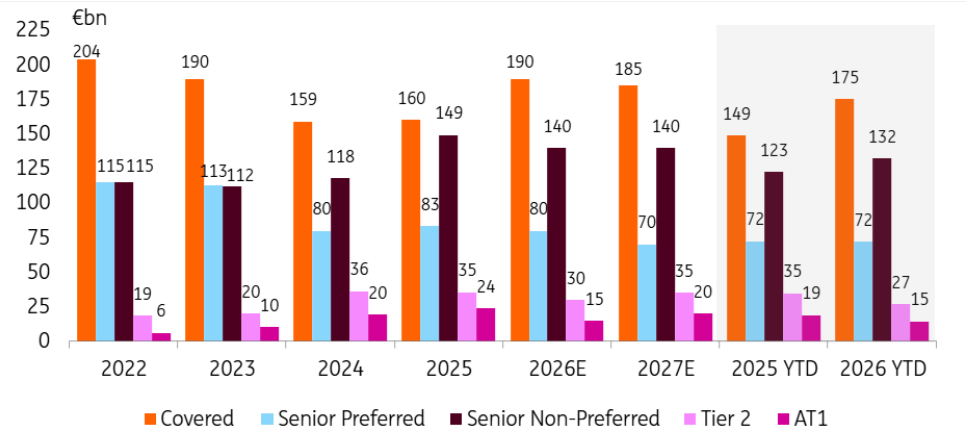
In addition, budget and political concerns in France and OAT-Bund volatility, as well as broader European fiscal concerns, have recently led to spreads widening again. The combination of French political uncertainty and the Middle East conflict could trigger some periods of volatility in the market in 2027. However, we believe these uncertainties will not be a strong negative for bank bond supply. Depending on the timing, though,

periodic widening may make financial institutions less keen to pre-fund redemptions coming up in 2028.

Our 2027 supply forecast

When accounting for these three main variables, we expect the EUR bank bond supply to reach €450bn in 2027. This translates into a net supply of €57bn, down from €89bn in 2026.

Forecast EUR bank bond supply for 2027



YTD = 16/10
Source: ING

Our estimate includes €185bn in covered bonds, comprising €180bn in benchmark-sized issuances, including floating rate notes, and €5bn in sub-benchmark bonds. This is a €5bn drop versus our 2026 forecast. It reflects the pre-financing already made by issuers this year in preparation for the historically high redemptions.

Furthermore, next year's mortgage lending forecasts point to stagnation, somewhat limiting any further increase in covered bond issuance. Besides, with the securitisation package entering its finalisation stage, issuers with high funding needs may shift some secured issuance towards securitisation for diversification purposes. Increasing demand for covered bonds from overseas investors driven by regulatory developments may also result in more currency diversification, away from EUR-denominated issuance.

We forecast senior unsecured supply to reach €210bn next year. This is split between €70bn in senior preferred bonds and €140bn in senior bail-in instruments. It represents a €10bn YoY decline in senior preferred supply, reflecting both the drop in the segment's redemptions from 2027 onwards and the potential impact of the Crisis Management and Deposit Insurance (CMDI) framework. As the CMDI reforms are expected to enter into force in 2028, they could reduce the attractiveness of senior preferred bonds versus senior bail-in instruments in some EU countries, as senior preferred exposures will rank lower than, and no longer pari passu to, uncovered deposits in the creditor hierarchy. The funding cost advantage of senior preferred unsecured issuance could decline. At the same time, issuing senior non-preferred bonds could serve the purpose of increasing the bail-inable layer protecting preferred senior bonds and their current ratings. This could shift some issuers' focus towards the senior non-preferred bucket instead of the senior preferred segment.

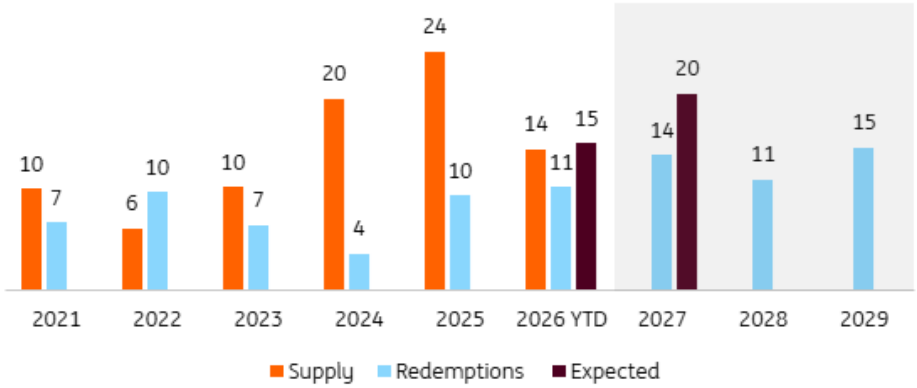
Our forecast for senior non-preferred supply remains stable compared to our 2026 estimate. While redemptions will increase by €6bn in 2027 and further in 2028 to reach €102bn, we believe the impact of higher refinancing needs on non-preferred senior supply will be partially offset by the lack of balance sheet growth against the backdrop of higher interest rates. Furthermore, the outperformance of US dollar debt versus EUR-

denominated debt could see issuers turn more often towards the USD market, potentially negatively affecting EUR senior bail-in supply.

Lastly, we expect Tier 2 supply to reach €35bn and AT1 supply to reach €20bn in 2027. This is a €5bn increase YoY in both AT1 and Tier 2 compared to our 2026 forecast, mainly driven by higher redemption levels. With AT1 redemptions in 2027 increasing by €3bn YoY to €14bn, net supply is likely to be marginally higher next year. In Tier 2, redemptions increase by €4bn to €31bn, essentially meaning that net supply will only be marginally higher.

As the chart below highlights, net supply in AT1 has been significant in recent years but has slowed this year as the focus has shifted towards refinancing. As such, while we expect more AT1 supply next year compared to 2026, the levels are relatively in line with the longer-term trend.

Forecast EUR AT1 supply (€bn)



Source: ING

The main driver of supply will also be refinancing for subordinated capital. We expect a further marginal decline in CET1 buffers, although most banks are already operating at target AT1 and Tier 2 ratios. Still, there are some issuers with substantial gaps in either AT1 or Tier 2 ratios, which they may look to improve, leading to a slight increase in supply.

Significant Risk Transfer (SRT) issuance has also increased in recent years and will continue to grow as a tool for banks in terms of balance sheet and capital management, while it is also growing as an investable asset class. Although SRTs provide capital and RWA relief, they do not replace the gone-concern and loss-absorption capacity of AT1 and Tier 2 instruments. As such, they play a more complementary role in capital management, and we do not expect it to have a major impact on bank capital issuance in 2027.

Bank M&A could also be a wildcard for 2027 issuance. With several large M&A transactions potentially taking place, this may lead to some capital optimisation and less incremental supply needs; conversely, goodwill effects, potential regulatory increases in buffer requirements or RWA inflation may lead to a slight increase in the need for capital. However, on the whole, we would expect M&A to have a slight dampening effect on supply.

Finally, spreads are currently quite elevated, and coupons on new issues are generally higher than legacy bonds maturing or callable in 2027. This may also lead to a more wait-and-see approach from issuers, but we still think that most issuers will continue to drive their capital plans as in previous years.

Forecast EUR bank bond supply for 2026

	FY 22	FY 23	FY 24	FY 25	FY 26F	FY27F	2025 YTD	2026 YTD
Covered bonds	**204**	**190**	**159**	**160**	**190**	**185**	**149**	**175**
Covered redemptions	*143*	*126*	*117*	*134*	*157*	*186*		
Bank senior unsecured bonds	**230**	**225**	**198**	**233**	**220**	**210**	**195**	**204**
Preferred senior unsecured	115	113	80	83	80	70	72	72
Bail-in senior unsecured	115	112	118	149	140	140	123	132
Senior unsecured redemptions	*174*	*142*	*127*	*142*	*172*	*162*		
Bank subordinated bonds	**25**	**30**	**56**	**60**	**45**	**55**	**54**	**42**
Tier 2 debt	19	20	36	35	30	35	35	27
Additional Tier 1 debt	6	10	20	24	15	20	19	15
Bank capital redemptions	*31*	*24*	*18*	*37*	*37*	*45*		
Total bank supply	**459**	**445**	**413**	**452**	**455**	**450**	**397**	**421**

YTD = 16/10

Source: ING

Sustainable bank bond supply set for further growth in 2027

Sustainable bank bond supply is close to reaching a record in 2026, despite Europe's ESG simplification agenda. We expect another increase to €100bn in 2027, supported by sustainable lending growth, higher redemptions and resilient investor demand



Maureen Schuller
Head of Financials Sector Strategy
maureen.schuller@ing.com



Sustainable bank bond supply is blooming, nearing a record in 2026

Banks issued an unexpectedly large amount of sustainable debt this year despite Europe's ESG deregulation efforts. Up to mid-October 2026, they issued more than €86bn in sustainable bonds across different instrument types, up by almost €20bn from the same period last year.

This was a surprisingly strong increase given that favourable primary market conditions offered issuers little greenium, despite continued evidence that sustainable bonds attract higher investor demand, as reflected in stronger oversubscription rates. This suggests that the availability of sustainable assets was not a meaningful constraint on banks' sustainable debt issuance, thanks to higher redemptions and sustainable lending growth.

Issuers are also increasingly directing ESG bond issuance towards European capital markets, often at the expense of North American markets, reflecting the growing divergence in political and regulatory priorities between the two regions.

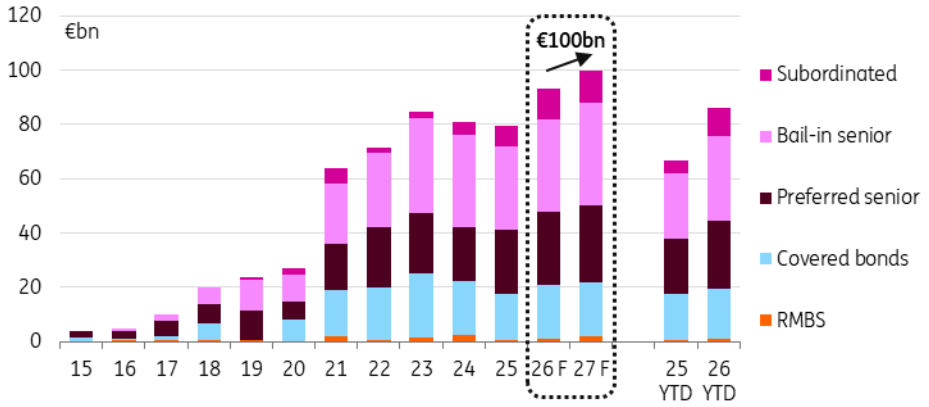
The bulk of the YTD supply (€76.6bn) (re)financed green assets, with green supply up €25bn from 2025. Instead, issuance in social and sustainability formats did not exceed €9.6bn, trailing last year's supply by €4.5bn. All instrument types, from secured to unsecured to subordinated, contributed to the higher ESG supply volumes. However, sustainable T2 and bail-in senior (senior non-preferred and HoldCo) issuance increased particularly strongly, as the funding cost advantage from sustainable issuance was better for these instruments than for covered bonds and preferred senior debt.

Issuance under the European Green Bond Standard (EuGBS) rose from €2.5bn to almost €12bn YTD. For many banks, ICMA-aligned green bond issuance remained the more practical option as it allows them to finance a broader pool of assets, rather than fully commit the bond proceeds to Taxonomy-aligned activities. This is particularly relevant

when non-EU assets are financed, for which the EU regulation-based do-no-significant-harm requirements (DNSH) are difficult to apply.

That said, with the revisions to the EU Taxonomy's technical screening criteria around the corner (expected in 4Q 2026), we expect more banks to inaugurate European Green Bond Programmes, as more types of green assets will become available due to the EU's simplification agenda.

Sustainable bank bond supply will reach €100bn in 2027 (€bn)



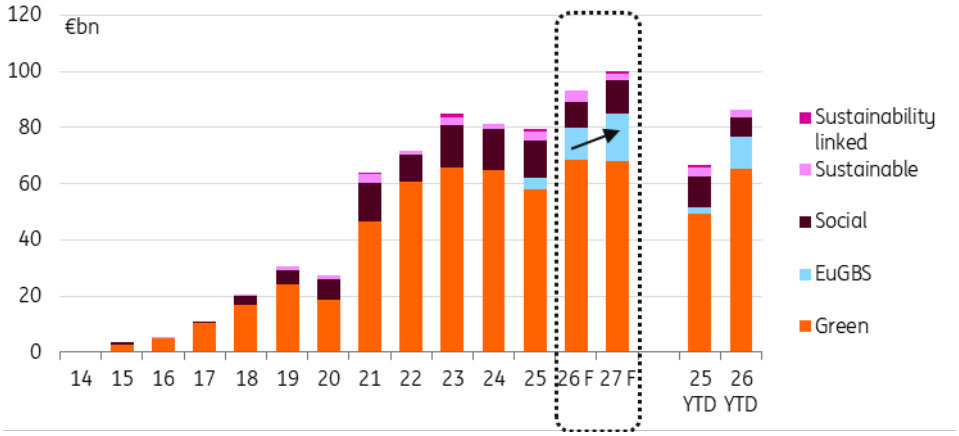
Includes only euro-denominated bank bonds with a minimum size of €250m
Source: IGM, ING

What is driving growth in ESG supply in 2027?

We expect sustainable bank bond supply to reach €100bn in FY2027, up from €93bn in FY2026 and equivalent to 22% of total euro-denominated bank bond supply. Green issuance remains dominant at €85bn, of which €17bn (20%) will be issued under the EU Green Bond Standard (EuGBS). Social, sustainable and sustainability-linked supply will total €15bn, of which 80% will be issued in social format.

Greater availability of social assets, together with regulatory initiatives such as the Affordable Housing Act presented by the European Commission in September 2026, should help social issuance to gain further traction in 2027.

Green supply will reach €85bn of which 20% will be issued as EuGBs (€bn)



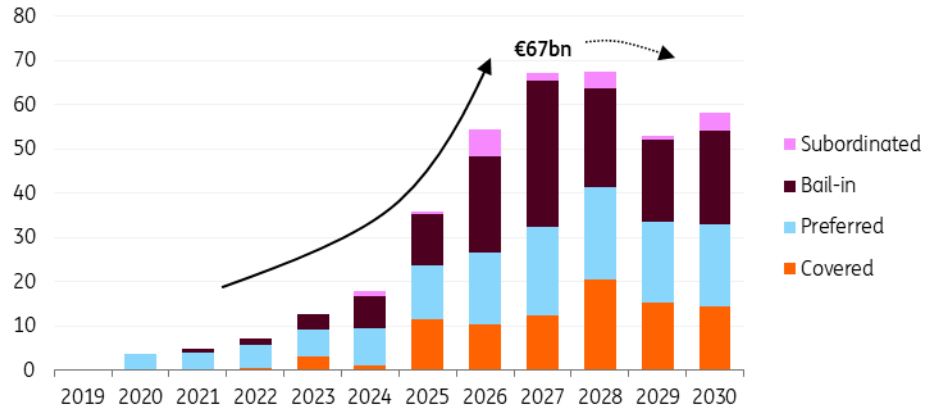
Includes only euro-denominated bank bonds with a minimum size of €250m
Source: IGM, ING

Sustainable loan origination will, in general, remain an important driver of ESG supply. Higher interest rate levels will dampen lending growth in 2027, but sustainable lending will likely be impacted to a lesser extent.

Borrowing for energy efficiency improvements or with a low carbon footprint could trim borrowing costs, while high energy prices and costs may incentivise companies and households to move forward with investments to reduce their energy dependence and use. Banks' net-zero commitments also support the continued focus on the greening of their balance sheets.

Moreover, banks will repay €67bn in EUR sustainable debt in 2027 up from €54bn in 2026. These redemptions should release some assets for refinancing, although loan amortisation, look-back periods and changes in use-of-proceeds criteria may prevent a full refinancing with new sustainable debt. In 2026, banks replaced 70% of their sustainable redemptions partially or fully with new sustainable supply. A comparable trend for 2027 would already cover close to half of our supply estimate for next year.

Sustainable bank bond redemptions rise to €67bn in 2027 (€bn)



Includes only euro-denominated bank bonds with a minimum size of €250m
Source: IGM, ING

Besides these fundamental supply drivers, periods of geopolitical or sovereign debt market volatility could encourage banks to apply a green or social label to a larger share of their issuance. This may help them broaden and diversify their investor base and support the execution of their transactions.

EU simplification and asset-identification developments

The EU's efforts to simplify ESG rules will have mixed implications for the growth of sustainable asset pools. The reduced corporate sustainability reporting scope may impede asset identification, while revisions to the Taxonomy's technical screening criteria could support the growth of eligible green assets.

This year's narrowing of the scope of the EU Corporate Sustainability Reporting Directive (CSRD) to companies with more than 1,000 employees and a turnover above €450m makes it more difficult for European banks to identify assets on their balance sheets that are suitable for sustainable bond issuance. The simplification of the European sustainability reporting standards (ESRS) and the value chain cap add to this challenge.

However, the voluntary reporting standards applicable from 1 January 2027 could still provide banks with some essential data on smaller companies in their value chain. This may include information on energy consumption, greenhouse gas emissions, waste generation, and recycling efforts, which could support the identification and origination of eligible sustainable assets.

The narrower CSRD scope will also have implications for EU Taxonomy disclosures, which are likely to be more important than the broader ESRS disclosures for the identification of eligible green assets. The restricted scope reduces the availability of Taxonomy alignment data, as smaller companies and banks are excluded from these disclosures. The 10% materiality threshold may also allow smaller exposures to be excluded from

Taxonomy alignment assessment, further limiting the value of Taxonomy disclosures for asset identification.

While these disclosure changes may complicate asset identification, the proposed revisions to the Taxonomy's technical screening criteria could support green portfolio growth once they enter into force in early 2027. For instance, the substantial contribution criteria for green buildings constructed before 2027 remain mostly unchanged. The criteria would also be expanded to include buildings that achieve a reduction in primary energy demand of at least 60%. Combined with the streamlining of DNSH criteria, this could support the expansion of Taxonomy-aligned green portfolios.

The technical screening criteria for buildings built after 1 January 2027 will converge more closely with the revised European Energy Performance of Buildings Directive (EPBD 2024/1275). However, they would already subject all new buildings to the Zero Emission Building (ZEB) criterion and life-cycle global warming potential (GWP) calculations ahead of the EPBD's 1 January 2030 deadline.

Additional recommendations from the Platform on Sustainable Finance could also make some criteria more restrictive. The Platform has recommended introducing a stricter top-15% benchmark for buildings constructed before 2021, based on 2023-26 building stock data, with the threshold tightening every five years to align with the trajectory towards net-zero by 2050. If incorporated into the final technical screening criteria, this recommendation could initially render more green buildings built before 2021 ineligible under the top-15 criterion. Over time, however, this periodic tightening would be consistent with the EPBD objective of achieving a net-zero building stock by 2050.

Taxonomy-aligned bonds will continue to find demand

The upcoming revisions to the Sustainable Finance Disclosures Regulation (SFDR) should also remain supportive of demand for sustainable bonds, even though these revisions will probably not apply before 2029 (i.e. two years after implementation).

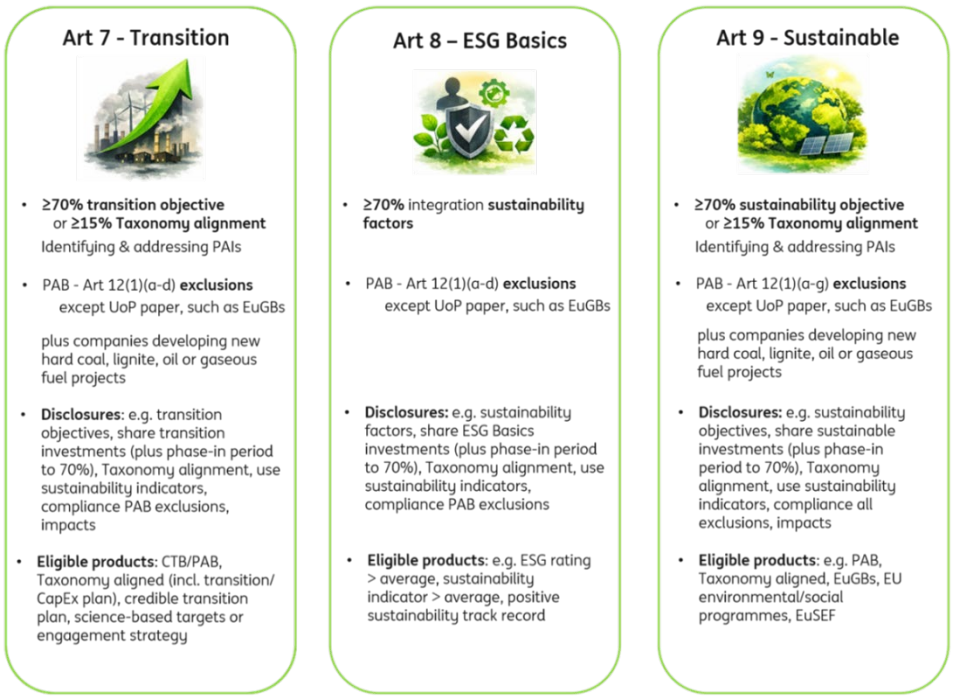
The SFDR review is set to enter trilogue negotiations, with the Council agreeing on its position in June 2026 and the Parliament adopting its negotiating position in September 2026. The European Commission published its first proposals to revise the SFDR in November 2025, providing for three new product categories to replace the current disclosure-based framework.

The **transition category** covers products that invest in companies or assets with a credible path towards sustainability or that pursue certain environmental or social transition-related objectives. The **ESG basics category** includes products that integrate other sustainability considerations beyond sustainability risks in their investment strategy. The **sustainable category** encompasses products investing in companies or assets that already meet high sustainability standards or pursue a particular environmental or social objective.

For each category, a proposed minimum of 70% of the investments should be made according to the respective sustainability claim. For the transition and sustainable categories, the 70% condition would also be met if the proportion of investments in Taxonomy-aligned activities is at least 15%. This would support demand among investors subject to the SFDR for bonds that finance Taxonomy-aligned activities.

The applicable Paris-aligned benchmark (PAB) exclusions do not apply to use-of-proceeds instruments such as European green bonds (EuGBs), or instruments where the proceeds do not fund the activities that should be excluded according to the applicable PAB exclusions, as long as the issuer of the instruments does not breach the UNGC principles or the OECD Guidelines for Multinational Enterprises. This offers flexibility when investments are made in EuGBs or other eligible use-of-proceeds bonds.

New product categories under SFDR 2.0



Source: European Commission, ING

Simplification won't stall banks' sustainable supply

Europe's simplification drive is not derailing sustainable bank bond supply. Growing sustainable loan portfolios, higher redemptions and resilient investor demand should support further growth in 2027, even as overall bank bond supply remains broadly stable.

European bank M&A is back with a bang

European bank M&A has seen a resurgence in recent years, and 2027 should stay busy. Domestic deals still dominate, while cross-border consolidation is harder but is also picking up. Regulation is becoming more supportive, but politics and execution still



Jesse Norcross
Senior Sector Strategist, Real Estate
jesse.norcross@ing.com



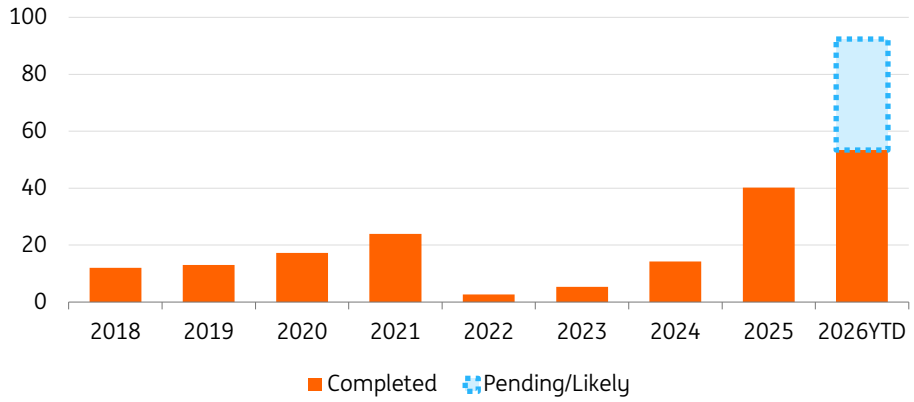
UniCredit and Commerzbank are at the centre of Europe's closely watched push towards cross-border banking consolidation

European bank M&A is back

European bank M&A has seen a strong resurgence, with several large-scale deals making headlines. UniCredit's high-stakes takeover of Commerzbank, once deemed very unlikely but now moving closer to completion, could be Europe's most significant cross-border transaction in years. Italy remains one of Europe's bank M&A hotbeds, with multiple banks taking part in the ongoing consolidation wave. Other banks have also been active, and we expect M&A to remain elevated in 2027.

Year-to-date M&A deal value has already surpassed the 2025 total, reaching €53bn including the UniCredit-Commerzbank transaction and based on deals valued at €100m or more. Furthermore, deals pending or intended total €39bn, which includes the potential takeover of Banca Monte dei Paschi by Intesa Sanpaolo, currently valued at around €34bn. All in, this would bring deal value back to levels not seen since the early 2010s.

European bank M&A volumes have seen a resurgence (€bn)



Source: Refinitiv, ING

The rationale for European bank M&A has changed. After the financial crisis, deals were mostly about repair, followed by a wave of deals involving stronger domestic banks buying weaker rivals. Today, the backdrop has shifted – profitability and capital levels are stronger, making the obvious cost-efficiency story less compelling on its own. Instead, banks are using M&A to add scale, deposits and fee-generating diversification, while the need to close the gap with US rivals remains a key driver.

The industrial logic has also strengthened, as fixed costs are rising in areas such as technology, AI, compliance, as well as personnel. Rising investment requirements mean that remaining subscale is becoming more expensive, even for highly profitable banks.

Domestic dominates, but cross-border competes

UniCredit-Commerzbank remains the sector's most closely watched deal and could become the first major cross-border acquisition since the financial crisis. UniCredit has slowly been building its stake rather than a clean takeover and is now deemed to hold effective control, despite currently owning around 50% of the shares. Furthermore, it is also not entirely a leap into an unfamiliar market, as UniCredit already has a significant banking business in Germany through its subsidiary, HVB.

The deal has also faced considerable pushback as well as political and stakeholder opposition, but is now looking increasingly likely to proceed. It has highlighted the difficulty of pulling off a large-scale cross-border deal for European banks. Yet it is now becoming the clearest live test of whether Europe is genuinely ready for cross-border bank consolidation.

Domestic deals remain the rule, but we have seen other examples of cross-border deals. These include BPCE's acquisition of Portuguese peer Novo Banco; Erste Bank's acquisition of Santander Bank Polska; and Crédit Agricole acquiring IKB to increase its presence in Germany. Some banks are also looking across the pond, such as Santander, which acquired Webster Financial Corporation in the US for USD12.5bn.

These transactions are important, but they do not yet amount to a broad-based cross-border consolidation wave. Many involve banks already familiar with the target market or assets that complement an existing local business.

Selected transaction details

Transaction	Type	Status	Deal value + Stake	Strategic rationale	Main implication
UniCredit / Commerzbank	Staged cross-border takeover	Pending control (ECB approval received)	c.49% owned; c.50% voting rights expected	Scale in Germany and HVB overlap	Landmark cross-border test; politics still shape execution
Intesa / Monte dei Paschi (MPS)	Domestic cash-and-shares bid	Announced / likely	€30.6bn initially; later improved to c€34bn	Scale, deposits and market leadership	Likely branch disposals and competition remedies
MPS / Mediobanca	Domestic takeover and merger	Completed; integration under way	€16bn	CIB, wealth and Generali stake	Transforms MPS business mix and reduces governance complexity
MPS / Banco BPM	Merger of equals	**Unlikely**	€25.3bn	Italy mid-tier consolidation	Italy mid-tier consolidation
MPS / Banca Generali	Merger of equals	**Unlikely**	Part of c.€34bn twin proposals	Adds wealth mgmt scale and fee income	Growth in MPS wealth and mid-tier banking
BPER / Popolare di Sondrio	Domestic merger	Completed Apr-26	€4.3bn initial offer	Northern Italy scale and deposits	Clear domestic synergy case
BPCE / Novo Banco	Full cross-border acquisition	Completed Apr-26	€6.7bn	Portugal as second domestic market	Large but operationally separate expansion
BPCE / Sabadell	Strategic minority stake	Completed; cooperation talks	7% stake for c.€1.2bn; cap 9.9%	Spanish exposure, board role and partnerships	Optionality without control; strengthens Sabadell defences
Santander / Webster	Cross-border takeover	Completed	$12.5bn	Geographic scale, creating a top-10 US bank	Bolt-on acquisition in commercial markets

Source: Company reports, ING

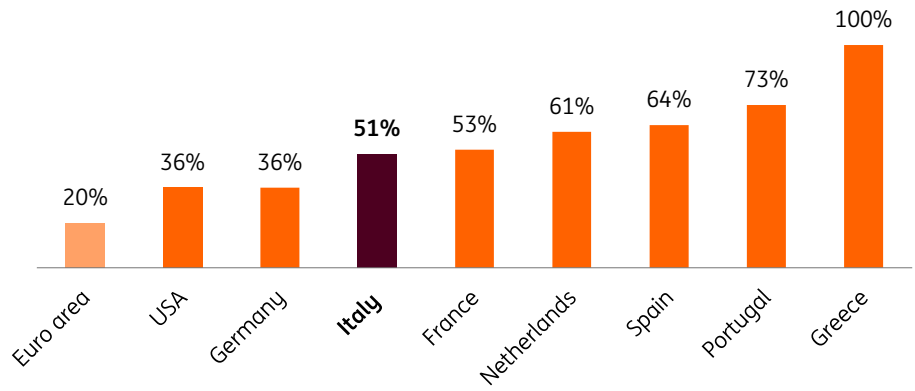
Italy is still riding the wave

Italy has become one of Europe's busiest M&A markets, riding a new wave of consolidation, with Banca Monte dei Paschi (MPS) at the epicentre. The bank completed the acquisition of Mediobanca in 2025, and this year approached Banco BPM and Banca Generali for a merger as a counteroffensive to Intesa Sanpaolo's hostile bid for MPS.

The counteroffensive now appears less likely, as key shareholders have opposed parts of MPS's merger plans and have also backed Intesa's bid. The ECB has also provided authorisation to take control of MPS, representing an important step for the €34bn takeover. Alongside this, we had the BPER-Popolare di Sondrio merger earlier in the year, adding to Italy's consolidation.

Why is Italy so active in particular? Well, Italy remains quite fragmented (see below) and still offers a large domestic synergy pool, even after the wave of M&A that has already taken place. Furthermore, the country has meaningful industrial scale and offers further revenue diversification opportunities for banks and insurers. Although the obvious combinations are becoming less evident in Italy, we expect this to continue to drive M&A activity in 2027.

Top 5 banks' lending market share by country (2025)



Source: AFME, ING

It's not only about getting bigger

The deal mix is also broadening, as banks are increasingly focusing on fee income as well as scale, while also stepping into capital-light businesses. Deals in sectors such as wealth management, asset management, payments & FX and insurance are likely to feature prominently.

NatWest Group's acquisition of Evelyn Partners is a good example. The combination created the UK's largest Private Banking and Wealth Management business, while lifting Natwest's fee income by 20%. Similarly, BNP Paribas's acquisition of AXA Investment Managers in 2025 created a €1.5tn asset management business, as the bank is seeking to compete with US asset management rivals and grow its fee income. In Germany, Deutsche Bank and DWS were reported to be exploring a potential minority investment in the life insurance business Frankfurter Leben. This would mark Deutsche's return to life insurance after more than a decade.

Consolidation can support bank performance

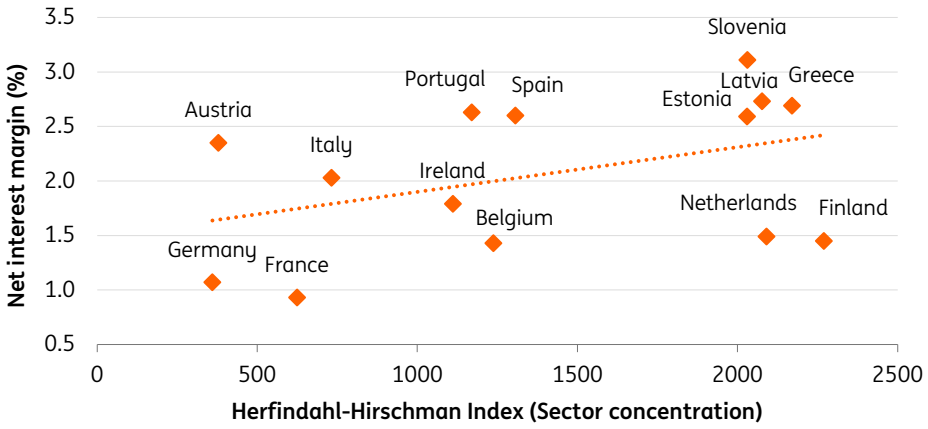
But does consolidation actually deliver better outcomes? The evidence is not entirely clear-cut, but overall points in the right direction. While increasing scale is not always the best use of capital, in general, more consolidated markets tend to have more stable and, in some cases, higher profitability. The ECB is in favour of further consolidation where appropriate, as it sees the benefits of diversification and efficiency. On the other hand, capital can be reduced following a merger. This could be a downside, as better

capitalised banks tend to enjoy lower funding costs and thus have more room to lend to the real economy.

The outcome therefore depends on the trade-off between longer-term synergies and the upfront capital, execution and integration costs.

ECB data show an association between more concentrated banking markets and profitability. As the chart below shows, countries with a high level of concentration (defined by a higher Herfindahl-Hirschman Index coefficient) tend to have higher net interest margins on average. Still, net interest margins in Europe are structurally lower than in the US, where they tend to be between 3-4%.

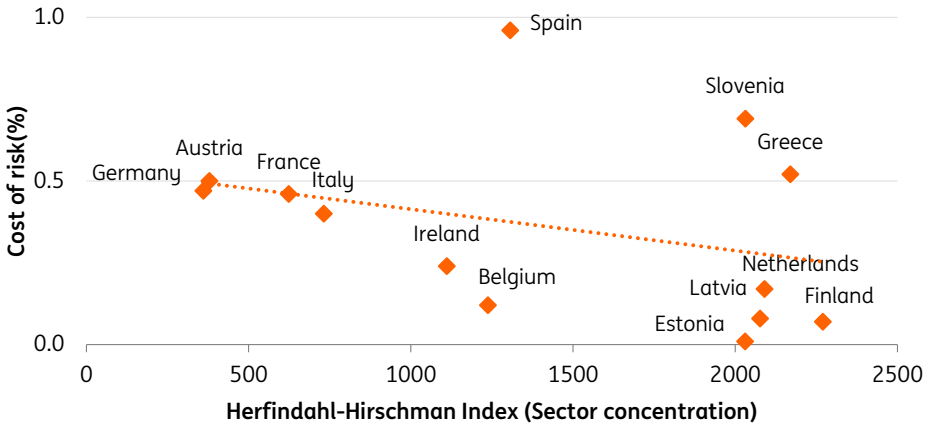
Net interest margin vs market concentration for European countries (2025)



Source: ECB, ING

Similarly, a higher level of market concentration in European countries is associated with a lower cost of risk. The correlation is modest, with some clear outliers, but the numbers show that greater concentration can lead to lower asset quality costs, although the relationship should perhaps not be interpreted as causal. Still, taken together, this suggests that consolidation can improve banking markets.

Cost of risk vs market concentration for European countries (2025)



Source: ECB, ING

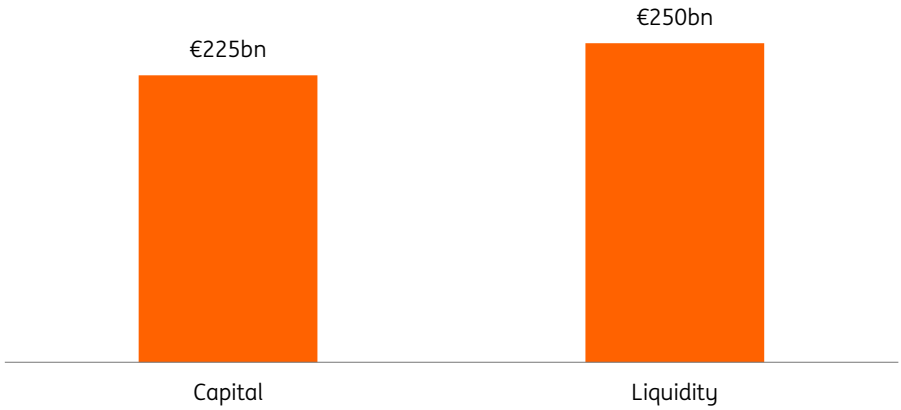
Regulation is helping, but can get in the way

The Banking Union has made deals easier to assess: the ECB has become the single prudential supervisor for large banks, capital rules are more consistent, while resolution planning is now much clearer than it was even a decade ago. But as the Draghi report noted, the incomplete Banking Union means Europe's banks remain less profitable than their US counterparts.

There is a shift underway, though. The EU Commission plans to table a broad **Banking Package** in the first quarter of 2027, with measures covering cross-border capital and liquidity management, deposit insurance, prudential rules and other items. For M&A, the most important proposals include those to give banking groups more flexibility to allocate capital and liquidity more efficiently within cross-border groups, while also applying more consistent treatment to intra-group exposures. These remain proposals rather than agreed implementations, meaning their final scope and timetable remain uncertain.

The AFME estimates that regulatory ring-fencing rules mean that some €225bn of capital and €250bn of liquidity is trapped within subsidiaries, which banks cannot freely move between parent and subsidiaries. Freeing this up could also support more cross-border transactions.

Regulatory ring-fencing traps subsidiaries' capital and liquidity



Source: ECB, ING

The European Commission is also bringing forward a new proposal to replace the European Deposit Insurance Scheme (EDIS), which could reduce national ring-fencing incentives and encourage more cross-border M&A. CMDI reform has been passed this year, which could make it easier to deal with failing banks, potentially making consolidation easier as well, although the direct impact on M&A is unclear.

The Danish compromise, which is now embedded into CRR3, allows banks to risk-weight certain insurance subsidiaries rather than deduct them from regulatory capital. This was clarified by the EBA in January 2026, and some banks such as UniCredit have received authorisation to use the Danish Compromise methodology for its insurance subsidiaries. This has improved the economics of bancassurance and could support further bank-insurance transactions.

On the other hand, national regulatory and political intervention has also put the brakes on M&A in some cases, raising execution costs and uncertainty. BBVA's proposed acquisition of Sabadell in 2024 illustrates the problem. It took 539 days from the announcement in May 2024 to the offer failing in October 2025.

For us, the message seems clear that European regulators are seeking to improve bank competitiveness, and they see consolidation as an important part of this. Looking ahead, regulation can improve the plumbing, but it is not a dealmaker.

Why 2027 should stay busy

The starting point for 2027 remains supportive, with bank profitability continuing to hold up well in 2026 while capital levels remain solid. While the geopolitical, inflation and interest rate backdrop poses headwinds, we still expect acquisition activity to remain high. On the other hand, management teams will increasingly need to choose between

retaining greater capital headroom in a less market-friendly environment, shareholder payouts, or M&A.

The most likely deals are still domestic. Italy remains the M&A market of choice, but other geographies could also stand out. The Nordics are likely to see more partnerships and tech- and wealth-focused deals. Spain and Portugal are already quite concentrated, so we could see more bolt-ons. In the UK, challenger banks and neobanks are gaining ground while deposit competition remains intense, potentially leading to more activity. The Benelux has potential catalysts following a series of government ownership reductions and increasing inorganic ambitions.

Cross-border activity could also remain elevated, but we think the real litmus test remains the UniCredit-Commerzbank deal, including what happens after completion in terms of execution and integration, a process that is likely to take a few years. The regulatory environment should also become increasingly more supportive for cross-border M&A from 2027 onwards.

Overall, 2027 could be another interesting year.

M&A is here to stay

European bank M&A has picked up in recent years, and we expect more activity again in 2027, although we do not see a big bang. For investors, positioning is inherently speculative. For bondholders, the main way to gain is by owning the target entity's bonds. However, this is not always the case, and bigger doesn't always mean better, as credit ratings don't necessarily improve either following an acquisition or merger.

We are not suggesting that a major change in the European banking landscape is imminent, as many obstacles remain, particularly with cross-border deals. But the direction of travel is interesting: larger banks often outperform smaller banks, while regulators continue to see benefits from a deeper, more integrated European banking union. Still, European banking markets remain fragmented to differing degrees, both between countries and compared to the US, presenting both opportunities and obstacles.

Why AT1 still matters in 2027

AT1 reform may remain on the back burner in 2027, leaving the instruments' role in bank capital largely unchanged. Solid fundamentals remain supportive, while supply should be manageable – but tight(ish) spreads and low reset levels could weigh on the market



Jesse Norcross
Senior Sector Strategist, Real Estate
jesse.norcross@ing.com



Bank capital enters 2027 on solid ground, while tight spreads and rising risks favour selectivity

AT1 reform remains on the back burner

The European Commission published its report on competitiveness in the banking sector in July but did not include much in the way of proposals for AT1 bank capital instruments. The report mainly focused on reducing complexity, reporting requirements and improving competitiveness for Europe's banking sector.

For AT1, this probably means that the instruments are unlikely to be phased out anytime soon. What is somewhat relevant for AT1s is the Commission's intention to reduce complexity for bank capital structures. This includes making the Pillar 2 requirement and guidance more transparent, while the Commission also proposes to consolidate parts of the buffers into two buffers: one that can be released in periods of stress, and another that would be maintained in all scenarios.

This, in theory, could reduce the risk of coupon skips, as being able to release buffers during periods of stress would not automatically lead to a breach of the combined buffer requirements. The proposals also include a removal of the leverage ratio Pillar 2 capital requirement, which would affect the largest European systemically important banks subject to this requirement. This is only a small number of banks but could (in theory) lead to a marginal decline in AT1 issuance.

Overall, AT1 reform remains part of a broader discussion, with the EU Commission proposals also likely to change as negotiations remain ongoing and consensus needs to be built. For AT1, we expect the instruments to keep playing an important role (yay!) in European banks' capital stacks, with no signs of an imminent abolition or grandfathering process.

More supply while refinancing remains the main event

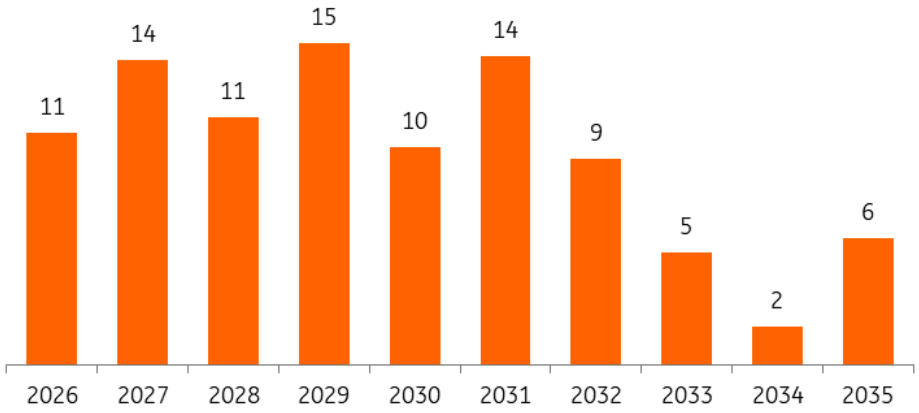
With no major changes to AT1 structures or requirements imminent, we don't expect a significant impact on banks' capital instrument management and funding plans in 2027.

Primary issuance in euro-denominated AT1 and Tier 2 has been in line with expectations in 2026. EUR AT1 issuance has just passed €15bn at the time of writing, slightly above our expectation of €15bn. Similarly, EUR Tier 2 has reached €27bn, nearing our expectation of €30bn for 2026.

In 2027, we expect a modest increase in supply, largely dominated by the refinancing of upcoming redemptions/calls. We expect **€20bn in AT1** supply, compared to €14bn of calls. While this represents a step-up, incremental net supply is only around €3bn higher than in 2026. Tier 2 redemptions will also rise by around €3bn next year, supporting our increased supply expectation of **€35bn in Tier 2.**

While gross supply will be higher, net supply should remain easily absorbable. More supply should create opportunities in primary markets, although lower reset levels have left some recently issued bonds more exposed during weaker markets.

AT1 redemptions pick up next year (€bn)



Source: IGM, ING

French banks: Déjà vu?

French sovereign risk has increased, with the 10-year OAT-Bund spread now trading at around 160bp at the time of writing, the highest level since 2011. The French 10y yield is around 5%, the highest level since 2002. The story in French markets is growing more sinister by the day. But contagion risk across the eurozone is (so far) relatively contained. Italy and Belgium stand out as other higher-risk countries, given high debt levels and deficits, but it remains a French story for now. Nonetheless, the domestic sovereign exposure and the sovereign-bank nexus have come back into play.

So far, the market is not questioning the broader future of the eurozone. Still, France is of a much larger magnitude than countries such as Greece or even Italy, which had to be supported during the eurozone crisis.

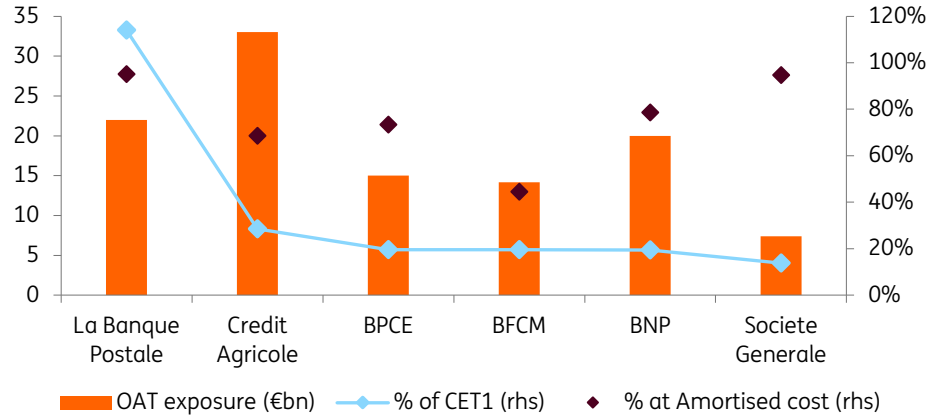
What can be said is that French banks, as well as the broader European banking sector, are in much better shape than they were during the eurozone crisis. French banks' capital ratios have increased significantly and now stand at around 13-15% on average, compared to c.9-10% during the eurozone crisis. Liquidity levels are healthy, while earnings and exposures, particularly for the larger banks, are well diversified. For instance, BNP Paribas generated around 25% of its revenues in 2025 in France, while French deposits account for 29% of the total. For Société Générale, France accounts for 40% of exposure.

French banks' direct exposure to OATs is also not that large; it represents around 6% of total assets, while roughly two-thirds is held at amortised cost, making holdings less sensitive to valuation declines. Some French banks do carry higher exposure, particularly those with limited geographic diversification. For instance, La Banque Postale shows the

highest OAT exposure as a percentage of CET1, at 114%. But around 95% is held at amortised cost.

On average, for most French banks, OAT holdings represent around 15-30% of CET1. For context, the data suggests that a 100bp widening of the large French banks' domestic sovereign holdings would lower CET1 for BNP and Société Générale by less than 10bp, and up to 25bp for Crédit Agricole.

French banks OAT exposure appears manageable



Source: Company reports, EBA, ING

Still, the risks are rising and sustained high OAT-Bund levels could feed into the real economy, credit demand, confidence and asset quality. While non-performing loans (NPLs) are low for French banks, they have risen a bit in recent quarters, and we could see more procyclical provisioning from French banks, in particular for SMEs and consumer loans.

Risks could also arise from other avenues. Moody's surprisingly maintained France's rating at Aa3, with a negative outlook, despite broad expectations of a downgrade. Nonetheless, rating downgrades remain a risk, and S&P is due for review at the end of November, bringing further sovereign ratings pressure.

A larger move in OATs would also be more disruptive, as higher yields, social unrest and political fragmentation complicate deficit reduction. October's preliminary composite PMI of 48.4 adds to the weaker-growth picture.

However, we do not think this is the same sovereign-bank loop as in 2009-2012. European Central Bank funding facilities, the Bank Recovery and Resolution Directive (BRRD) and stronger liquidity coverage ratio (LCR) and net stable funding ratio (NSFR) requirements have reduced banks' dependence on sovereign guarantees. The link remains: ratings, domestic bond holdings and a shared operating environment still transmit sovereign stress into bank funding costs and market access.

The flip side is that liquidity requirements and favourable EU sovereign risk weights have made banks important buyers of government debt. As ECB purchases ended and TLTROs were repaid, sovereign holdings have partly replaced central bank reserves for LCR purposes. Banks rely less on sovereign guarantees, but on the other hand, sovereigns arguably rely more on banks for funding.

This new relationship, alongside expectations that the ECB would contain broader spillovers, perhaps helps explain why bank spreads have not widened as much as OATs. The ECB's refinancing and bond purchase tools remain part of the toolkit, although they have previously been used in a different inflation and rates environment.

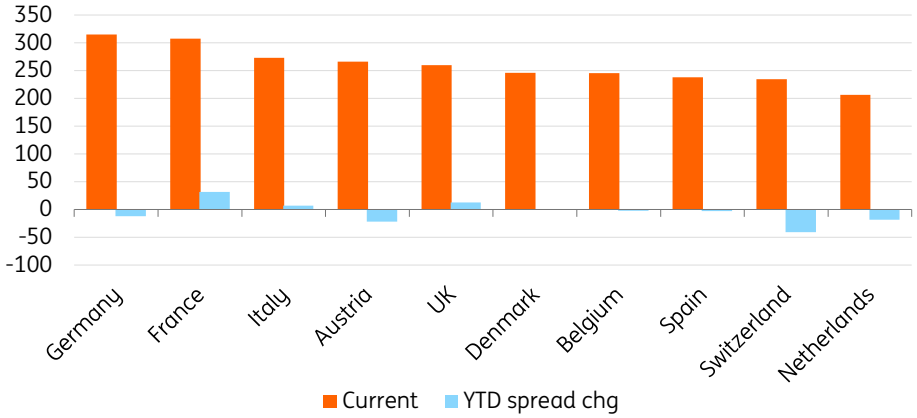
Without sovereign relief, pressure is likely to persist, particularly for domestically focused banks with larger relative OAT holdings. Limited issuance may slow the repricing, but the distinction between issuers remains important, especially in AT1.

French AT1 underperforms

French AT1 has underperformed YTD and now trades wider than most other major country cohorts in EUR AT1. That mostly reflects heightened sovereign-bank nexus concerns and OAT-Bund spread widening, rather than a deterioration in fundamentals. However, it also reflects market concerns about potential ratings impacts and ongoing political and fiscal volatility, as well as a weakening in the macro environment.

We would avoid treating all French banks similarly. Sensitivity to OATs and the French economy differ quite a bit across issuers. As such, the recent widening has been quite uniform, but the market could become more selective in French AT1s if nervousness continues into 2027. We think the most diversified names, including BNP and ACAFP in 2027 and 2028 callable bonds, with high reset levels, should hold up better.

French AT1 spreads trade at the widest levels in EUR

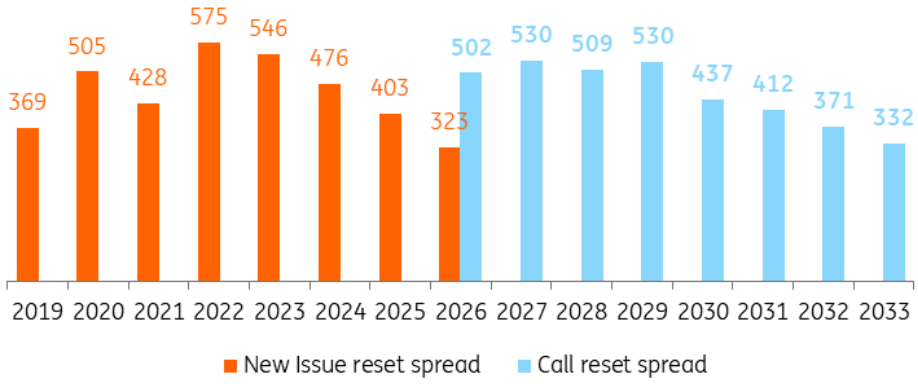


Source: IHS Markit, ING

Calling remains the base case, while the economics are changing

Banks have continued to call their AT1s this year, and calls (or tenders) remain our base case for 2027. While the decision to call or extend is highly dependent on market circumstances and, to a lesser extent, driven by regulatory approval, we still see a high bar for not calling/replacing.

AT1 reset levels have hit lows in 2026

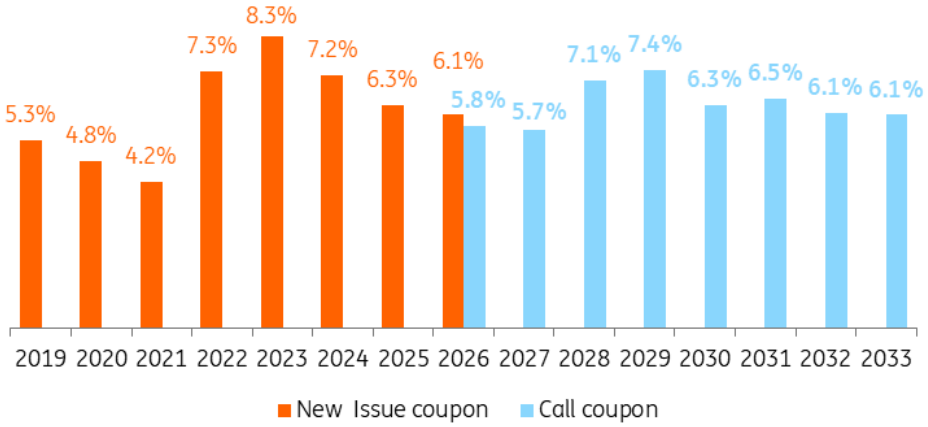


Source: IHS Markit, ING

This is especially the case as the reset levels remain low, while overall coupon levels are in line with recent historical averages. **The economics become less comfortable further**

out. Reset spreads decline for bonds callable from 2030 onwards, leaving these bonds more sensitive to higher rates and deterioration in market access. However, reset levels remain high on average through to 2029 callable bonds.

AT1 coupons have declined, but still remain elevated

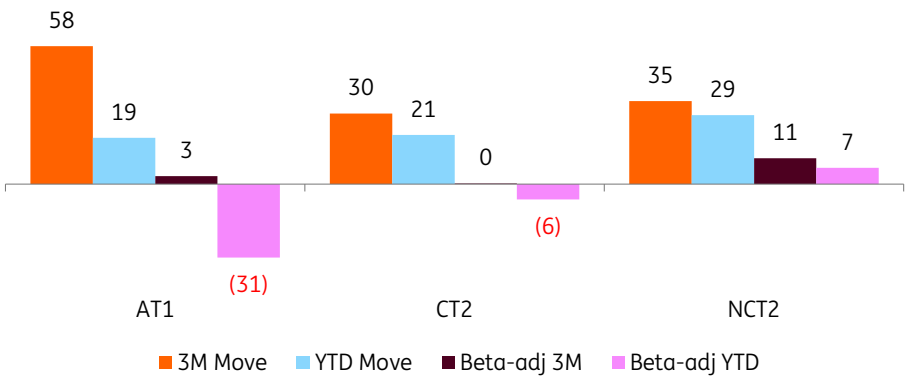


Source: IHS Markit, ING

AT1 and Tier 2: Spread widening at different speeds

The EUR AT1 index has widened by 19bp year-to-date, outperforming callable and bullet Tier 2. Over the last three months, the picture looks different, though. AT1 has underperformed Tier 2 as recent market stress has led to quite a bit of widening. On a beta-adjusted basis, AT1 has had a mixed performance over three months but has outperformed on a YTD basis, suggesting the recent sell-off has reversed the trend a little bit

AT1 has widened in recent months as volatility has come back to markets



Source: IHS Markit, ING

However, the correction has only moved spreads from tight to merely quite tight. The AT1 index now trades at a similar level to the 2y median of asw+295bp. Callable Tier 2 also trades just inside the 2y median after the recent widening. The AT1-Callable Tier 2 differential is around asw+150bp, while the AT1/Callable Tier 2 ratio is also in line with the 2-year average.

Both remain quite compressed compared to historical levels, suggesting that on spread alone, Tier 2 currently offers better value. **We see somewhat greater widening risk in 2027**, as bank fundamentals soften at the margin, while supply rises a bit and entry valuations remain slightly compressed.

This does not make AT1 too rich, but the yield angle remains the key driver of why AT1 could continue to perform well. With rates likely to remain elevated, additional yield combined with some spread widening may lead investors to wait for better entry points.

Reset has mattered more than ratings

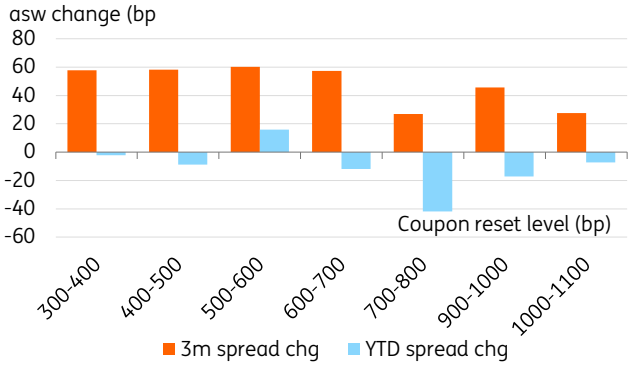
High reset spread AT1s have generally been more resilient in 2026, with the 700-800bp reset bucket even bucking the trend with some tightening over the last three months. While this relationship is not fully linear, and many high-reset bonds are issued by higher beta/lower rated issuers, numbers still suggest that reset levels have been an important driver of performance this year. Higher underlying rates reduce the cushion that lower reset AT1 bonds have had, as extension risk concerns have made something of a comeback in recent months.

Higher reset levels also provide greater coupon protection if a bond is extended during a period of market stress. There are a few near-term low-reset bonds callable with reset levels below +380bp. However, extension risk is still low for these: longer-call AT1s from these issuers trade through the respective reset levels, and these banks have historically assessed calls holistically, rather than purely on an economics or bond-by-bond basis.

Higher-rated bonds have underperformed in 2026. IG-rated bonds have not translated into better spread performance: BBB- rated AT1s now trade at similar spread levels as BB+ and BB-rated AT1s.

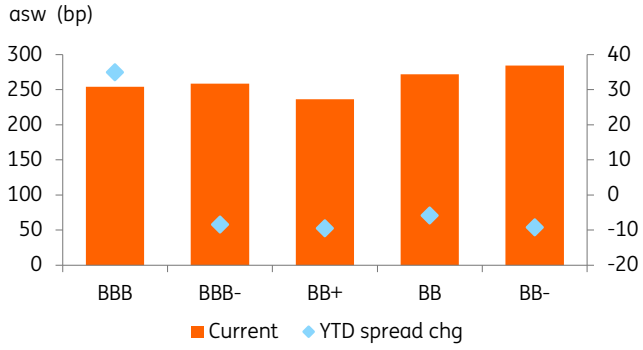
Reset levels have been a better guide for performance than credit ratings in 2026

High reset AT1s have been more resilient...



Source: IHS Markit, ING

... while higher rated bonds have seen less love



Source: IHS Markit, ING

So where does that leave the AT1 market in 2027?

2027 is shaping up to be another interesting year for bank capital. Valuations look a bit compressed, but bank fundamentals remain solid, with banks likely to continue calling their instruments at the first call dates. In terms of supply, we expect the small increase to be absorbable but potentially lead to investors becoming a bit more price sensitive. Furthermore, the lack of imminent AT1 reform should mean the asset class retains an important role in Europe's banking capital stacks for the foreseeable future.

There are risks becoming more visible, not least through sovereign and fiscal concerns, with France the obvious victim at the moment. A softening of fundamentals at the margin and lower reset levels further along the call curve could create more volatility. Spreads have recently seen some widening, yet there is probably greater scope for spreads to stay wider than for further tightening in 2027.

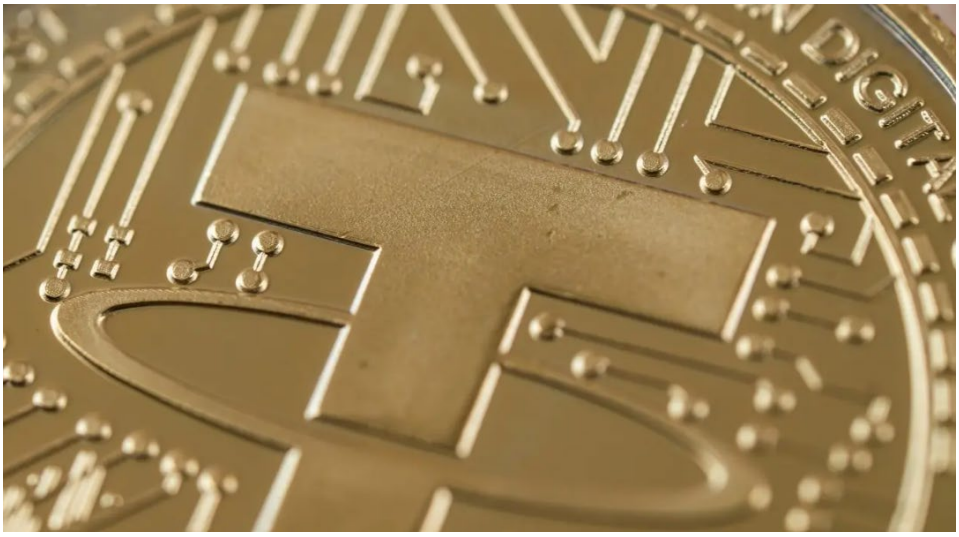
AT1 yields could remain a good driver of demand for investors, cushioning potential spread weakness. On the other hand, the market is likely to differentiate more between structures and issuer profiles, while remaining wary of banks with greater domestic sovereign sensitivity.

Stablecoins' growth – opportunity or threat for banks?

While stablecoin adoption could significantly affect European banks, including by shifting their funding base, the sector could also benefit from the technology by issuing its own tokens. Upcoming regulatory changes could alter the impact of stablecoins on banks, but we should not expect banks to surrender ground to fintech issuers without a fight



Marine Leleux
Sector Strategist, Financials
marine.leleux2@ing.com



Stablecoins are increasingly moving into the mainstream financial system as banks assess both the risks and opportunities they present

Stablecoins' market capitalisation has grown significantly over the past two years. This growth has drawn widespread scrutiny, including from regulators, as it raises concerns about financial stability. Banks have also paid closer attention to the sector as it could represent both new risks and opportunities.

In this piece, we review the potential impact stablecoins could have on the European banking sector. This is especially relevant as multiple regulatory changes are expected in 2027. The EU is reviewing its Markets in Crypto-Assets Regulation (MiCAR), which could affect the estimated impact of stablecoins on the banking sector. Across the Atlantic, the regulatory landscape could also change next year. Discussions could result in the US allowing stablecoin issuers to directly distribute rewards, which would be a first.

Overall, while the future of stablecoins is still uncertain, they promise to remain in the spotlight in 2027. We show that despite multiple risks identified, European banks are unlikely to surrender ground to fintech stablecoin issuers without a fight.

What are stablecoins?

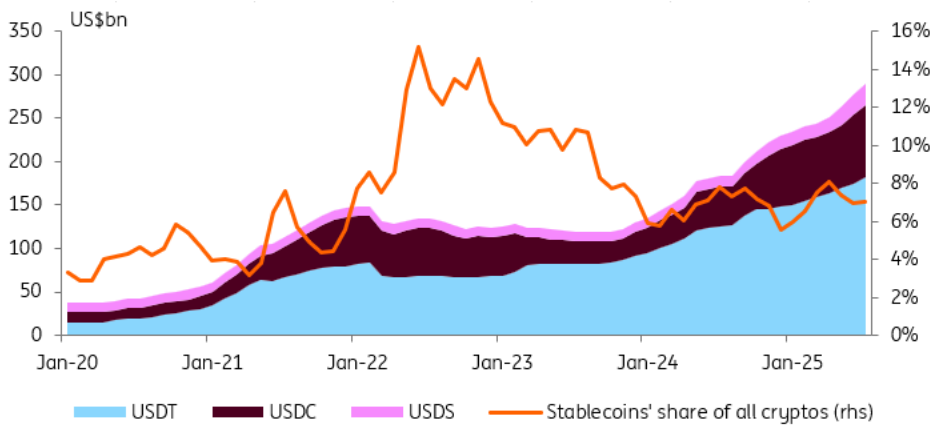
Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. Stablecoins are therefore not issued (or backed) by a government or central authority, but rather by a private institution and secured by segregated reserves.

The crypto asset is issued on distributed ledger technology (DLT), such as a blockchain, with three existing types of pegging mechanisms. For the sake of this analysis, we will focus on the main one: fiat-collateralised stablecoins. These crypto assets are backed 1:1 by reserves of cash or liquid assets.

In our overview publication on stablecoins (read more here), we review the sector's recent development. We show that the total market capitalisation of stablecoins is

surpassing $300bn globally, 99% of which consists of USD-pegged tokens. While still dwarfed by, for example, bank deposits, the rapid growth of the sector over the past five years (up by US$250bn) has drawn a lot of attention.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies



USDT = Tether, USDC = Circle, USDS = Sky Protocol
Source: ING Research, IMF

Growing interest in stablecoins stems both from possible efficiency gains and the potential risks they pose. For stablecoins to reach the 'broad adoption' level of development, usage should extend beyond the niche crypto landscape and into the payments world. Several variables, including regulation, integration into payment systems and relative attractiveness compared with other payment systems, must be considered when determining the future growth of stablecoins. Read more on that in our piece *Stablecoins 101: Uncertain growth but the stakes are high*.

Despite their uncertain future, we believe it's important to consider a scenario in which stablecoins become broadly adopted and systemically important as a means of payment. We identify multiple potential impacts of the crypto asset, including implications for emerging markets, interest rates, and monetary policy. In this piece, we will focus specifically on potential implications for the banking sector.

Stablecoins impact on banks: Threat, opportunity, or both?

In this section, we explore the potential implications of a broad use of stablecoins beyond the crypto landscape and into payment systems for banks. Despite US dollar stablecoins currently dominating the market, our main assumption is the widespread adoption of euro-denominated stablecoins in Europe.

While stablecoins are often presented as a challenge for the banking sector, we review here five potential implications, not all of which are negative for financial institutions.

1 A change in banks' funding

To discuss the consequences of an uptake in stablecoin adoption on banks' funding, two variables must be considered:

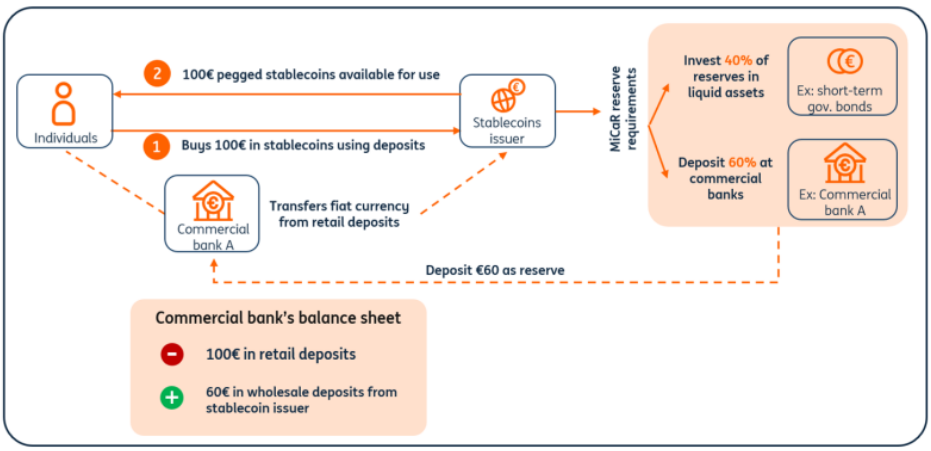
1. Which assets are used to buy stablecoins
2. What type of reserves are required by the regulation

If most users acquire stablecoins by redeeming liquid investments, the impact for financial institutions is expected to remain limited. However, if EU citizens and corporates adopt EUR-denominated stablecoins using bank deposits, the impact on financial institutions could be substantially more significant. In this scenario, banks could face a net drop in their retail and corporate deposits and/or a shift in the composition of their funding base.

Importantly, the nature of banks' funding change depends on the second key variable: the regulation in place, more specifically the reserve regime. Indeed, widespread adoption of the crypto asset with deposits could result in a drop in banks' funding. However, under the EU's MiCAR, stablecoin issuers are required to hold part of their reserves as deposits with European commercial banks.

This implies that part of the amount flowing out of banks would ultimately come back to the sector as reserves from stablecoin issuers. Stablecoin adoption would therefore not translate into a net drop in funding for banks but rather in a shift in their funding base, where retail and corporate deposits would come back in wholesale form (more specifically as financial institution deposits).

Illustration of banks' funding shift through stablecoins adoption using retail deposits*



*stylized example using MiCAR for systemic issuers
Source: ING

This shift from retail to wholesale deposits is not without consequences. Wholesale deposits are known to be more volatile than retail ones and therefore represent a less stable funding source for banks. Additionally, capital requirements are higher for wholesale deposits, with, for example, higher run-off rates in the Liquidity Coverage Ratio (LCR) and lower available stable funding weights in the Net Stable Funding Ratio (NSFR). This reflects their greater volatility and related risks, making them more expensive for banks to hold.

Greater reliance on wholesale deposits could also create risk management challenges with more complex asset-liability matching. The ease with which deposits can be switched into stablecoins could increase financial institutions' exposure to economic cycles.

To date, all main regulations in place ban stablecoin issuers from directly remunerating holders. Therefore, an environment in which interest rates are lowered (or even approach zero) would make holding stablecoins more attractive for users, as the difference with holding a deposit account is reduced. This could trigger sudden stablecoin adoption and a quick shift in banks' funding.

The opposite scenario could also pose challenges for banks. As interest rates increase, the attractiveness of holding stablecoins diminishes. This could lead to sudden redemption requests from stablecoin holders, forcing issuers to liquidate reserves held at banks. As a result, financial institutions could face an outflow of stablecoin issuers' deposits with a simultaneous inflow of retail deposits, adding volatility to their funding profiles.

In either case, these funding changes and substitution dynamics could make banks' funding management more complex, costly and difficult to predict. However, as long

as regulation prevents stablecoin issuers from directly remunerating holders, the effect of economic cycles is expected to remain muted, as stablecoins only become attractive as a deposit-like instrument in the case of a very low interest rate environment.

Additionally, the impact is likely to vary across the banking sector. Financial institutions with a large base of digitally active customers could face heightened pressure from widespread stablecoin adoption, as the barriers to switching from deposits to crypto assets are lower. Differences could also emerge between deposit categories. The impact is expected to be especially noticeable for accounts used as payment instruments, held by younger, digitally native customers who tend to be less relationship-driven or loyal to a specific bank and generally more willing to adopt new financial technologies.

While these points explore a scenario in which EUR-denominated stablecoins are widespread, **it's important to note that the impact would be different if USD-denominated stablecoins continue to dominate the market**. In that case, a significant uptake would not translate into a funding shift for European banks but rather into a net outflow of deposits.

Indeed, these funds could flow to US stablecoin issuers, which would place the safe assets as required under US regulation. In other words, this would translate into a net outflow of European deposits towards the US economy. Aside from the monetary policy impact, European banks would be required to turn to alternative and more expensive sources of funding to compensate for the outflow of retail deposits.

However, EU banks can also play a central role in the issuance and adoption of EUR-denominated stablecoins to counter that effect, as we discuss below.

2 Pressure on credit provision

In addition to changing banks' funding base, broad stablecoin adoption could also negatively impact credit provision through several channels.

In a scenario where banks see a funding shift towards greater reliance on wholesale deposits, higher liquidity requirements may push them to take more conservative risk decisions. Research has shown that this could translate into banks steering their balance sheets away from illiquid and long-maturity loans to ensure they comply with the regulation, as well as reducing loan volumes, shortening maturities and increasing loan pricing. Overall, the European Central Bank has shown that deposit substitution could lead to a contraction of about 0.2% in lending to firms.

In addition to regulatory restrictions, wholesale deposits show different volatility patterns from those of retail deposits, mainly by being more reactive to market and macroeconomic changes. Greater reliance on such deposits would, once again, imply more complex risk management, pushing banks to hold additional liquidity buffers which could increase loan pricing.

Here, again, the impact could differ depending on the financial institution. European banks already showing high loan-to-deposit ratios, as well as those close to regulatory thresholds, could be more inclined to pass higher funding costs on through lending conditions in order to remain within regulatory thresholds.

3 Concentration and spillover risks

A growing discussion among regulators centres on concentration risks. As stablecoin issuers are required to hold part of their reserves as deposits with commercial banks, financial institutions could increasingly rely on their deposits for funding**. As the proportion of banks' funding coming from a small number of stablecoin issuers increases, so does concentration risk.** This impact may become substantial if stablecoin adoption is both significant and concentrated among a handful of issuers.

Concentration could also arise if stablecoin issuers maintain relationships with only a limited number of banks, those with both the technical capabilities and willingness to engage with the sector. This could create pockets of concentration on both sides of the business, introducing new systemic risks for the banking sector.

Regulators across the globe have been increasingly attentive to the development of stablecoins. However, as concentration risks between banks and stablecoin issuers potentially emerge, they might also see the need to update their frameworks to ensure that such risks are correctly accounted for and captured in stress testing.

In addition, the current EU regulation also creates a direct link between the banking sector and crypto asset issuers, increasing spillover risks. In the event of a run on stablecoins, where the crypto asset suddenly loses value and users redeem their holdings, banks carrying the issuer's reserves could face sudden and significant redemption requests. This could transmit a shock in the crypto sector to the broader financial system. The reverse is also true, with stablecoin issuers potentially affected by the failure of, or reputational damage to, the commercial bank they hold reserves with.

These concerns promise to remain relevant in 2027 as the EU is reviewing its MiCA Regulation. In May 2026, the European Commission opened a consultation to assess whether the MiCAR remains 'fit for purpose' following its initial implementation and recent market developments. In September, the ECB, alongside the 27 EU national central banks, submitted a recommendation to drop the requirement for stablecoin issuers to hold deposits at commercial banks.

Instead, the European System of Central Banks proposes implementing a minimum percentage of assets maturing within one to five working days to be held by the stablecoin issuer. This is said to lower both concentration and spillover risks. However, it could further accentuate the impact on banks' funding by transforming a funding shift into a net deposit outflow.

Stablecoin and, more generally, crypto asset regulations are still emerging globally. Other regulators have highlighted the risks that links between stablecoins and the banking sector could create. The most striking example comes from the UK, where the Bank of England announced that it aims to ban stablecoin issuers from holding reserves at commercial banks, specifically to mitigate spillover risks in case of a shock. As stablecoin usage continues to rise, we can expect further changes to the regulatory landscape globally.

4 Competing through innovation

Despite the lack of international harmonisation, current regulations restrict stablecoin issuers from directly distributing remuneration to holders. This represents a significant regulatory advantage for the banking sector, as it limits the use of the crypto asset to transactional purposes. Remuneration distribution is therefore a central discussion point for stablecoin issuers, as removing the ban would allow them to position their product not only as a means of payment but also as a store of value. 2027 will be a crucial year as negotiations surrounding the US Clarity Act continue, potentially allowing stablecoin issuers to directly distribute rewards. While still far from an agreement, such a derogation would be a first globally and could open the door for similar changes in other jurisdictions. To counter this competition, banks could increase interest rates on their deposit accounts; however, this would have an impact on their profitability.

Therefore, the critical response to the rise of stablecoins lies instead in innovation. Indeed, crypto assets' main advantage lies in their speed and limited costs, but banks are already showing they can innovate to compete. The European payment landscape is relatively cheap and fast despite being heavily fragmented. Some national payment systems exist, but a large share of transactions are processed through non-EU providers.

Stablecoins' promise to process payments (nearly) instantly and at extremely low costs, even across borders, could put pressure on existing systems. However, banks and payment system providers are already exploring ways to compete and experimenting with new digital transaction methods.

One example lies in tokenisation. Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of assets can be tokenised, but most banks are experimenting with deposit tokenisation. These could modernise payment and settlement infrastructures as well as intragroup liquidity management. They promise faster settlement, 24/7 transactions, programmability and lower operational frictions. Additionally, tokenised deposits offer regulatory advantages, as they remain fully within the existing supervisory framework. The underlying assets stay on the commercial banks' balance sheet, preserving the same oversight and prudential standards applied to traditional deposits.

Banks' competitive response could also extend to the regulatory field. The sector could push regulators to implement or maintain strict rules for the crypto asset sector to adequately reflect their risks. The US provides us with a striking example, as negotiations for the Clarity Act have been ongoing for months, with financial institutions pressing the importance of the 'same risk, same regulation' principle. While the final version of the US crypto landscape regulation is still to be agreed upon, US banks have played a central role in the negotiations by requesting proportionate safeguards surrounding the use of crypto assets.

5 Banks' role in stablecoin adoption

While we have explored in depth the impact stablecoins could have on the banking sector upon broad adoption, **it's important to highlight that banks also play a role in the crypto asset's adoption.** A central variable in determining the future adoption and development of stablecoins is the degree to which they are integrated into existing payment systems. Greater integration not only increases accessibility for a broader range of customers but also improves the ease of use. This is especially relevant as stablecoins are still mainly used in the crypto landscape and by digitally savvy users.

Banks could therefore support the adoption of stablecoins for retail, day-to-day payments by integrating the asset into their digital systems or creating their own tokens, adding it as a new payment rail. Several examples in the EU and the US show the role banks can play in issuing their own stablecoins, defending their place in the payment landscape, even when it comes to new technologies. By issuing their own stablecoins, banks could also avoid losing client relationships and reduce the risk of becoming commodity providers for new payment issuers. Beyond this, banks are also exploring ways in which stablecoin integration could improve the customer experience while increasing fee revenues.

Looking specifically at Europe, banks' stablecoin issuance could also play a significant role in the growth of EUR-denominated stablecoins. To date, USD-pegged stablecoins represent a striking 99% of all stablecoins in use. The widespread use of USD stablecoins in the EU would have significant monetary implications on top of those discussed here for the banking sector. Over the past few years, the European Union has increasingly focused on its 'strategic autonomy' agenda. Part of the discussion concerns the Union's significant reliance on non-EU payment services, primarily US-based ones. The development of EUR-denominated stablecoins by local banks could provide an answer to these concerns, allowing for the development of a fast, cost-efficient European payment system directly competing with non-EU alternatives.

Potentially significant implications, but banks are unlikely to surrender ground to fintech stablecoin issuers

The broad adoption of stablecoins could have a significant impact on European banks. These range from a net drop in retail deposits or a shift towards wholesale funding to greater concentration and spillover risks, as well as an overall negative effect on credit provision and potentially banks' business models.

While it remains important to continue exploring these risks as stablecoin use grows, it's also crucial to highlight that the banking sector has tools at its disposal to not only counter them, but also benefit from the underlying technology. Indeed, one should not expect the "traditional" financial sector to simply stand aside as crypto assets continue to gain traction.

Despite significant growth over the past five years, stablecoins remain far from reaching widespread adoption. In our previous publication (read more here), we identified several factors that could shape their future. For banks, the key question is how to compete with the benefits stablecoins offer. The sector is already making substantial progress in instant-payment technologies and exploring digital alternatives (such as tokenisation) that could provide similar benefits with fewer regulatory concerns. These initiatives could significantly reduce stablecoins' relative appeal. Furthermore, it's essential to remember that banks still play a central role in payments and could also play a crucial role in the uptake of stablecoins by issuing their own tokens. This includes influencing which currency-pegged stablecoins gain traction and how they are integrated into the broader financial system.

Next year promises to deliver another wave of stablecoin-related news. In the EU, the MiCAR review could translate into a change in the reserve framework, a key issue when assessing the potential impact of stablecoins on banks. In the UK, 2027 will also be an important year as it will see the enforcement of its comprehensive stablecoin regime in October. The US must also still finalise its CLARITY Act, potentially allowing stablecoin issuers to directly distribute remuneration to holders. This would be a world first and a major shift in the regulatory treatment of the crypto asset, opening the door to similar changes in other countries.

While the upcoming regulatory changes could alter the potential impact of stablecoin adoption on the banking sector, we should not expect banks to surrender ground to fintech stablecoin issuers without a fight.

Solvency II reforms offer limited support for bank bonds, but securitisation gains some ground

The Solvency II amendments are unlikely to result in a material increase in demand for bank bonds. Securitisations benefit most directly through lower capital charges, while covered bonds could benefit modestly from the new liquidity-buffer rules



Maureen Schuller
Head of Financials Sector Strategy
maureen.schuller@ing.com



On 30 January 2027, the amendments to the Solvency II regime will apply, making these revisions one of the important regulatory themes for 2027. One of the key objectives of the Solvency II reforms is to release capital and promote long-term investments by European insurance companies in support of the ambitions of Europe's Savings and Investments Union (SIU). Such capital release could also increase the capacity of insurance companies to invest more in corporate and bank bonds.

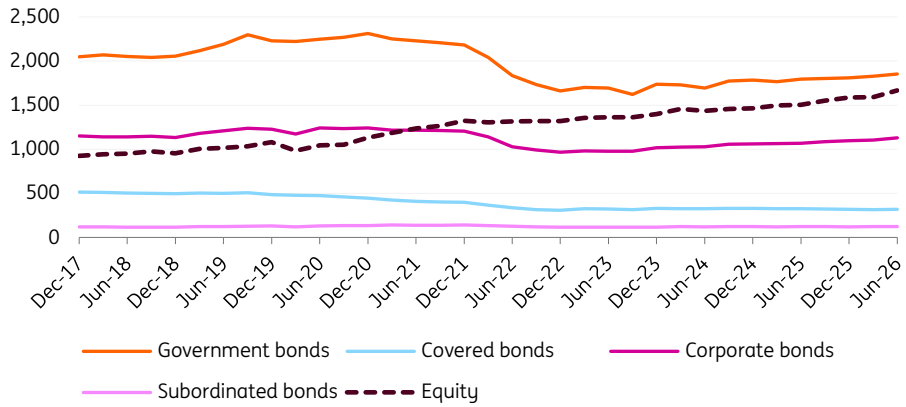
During the past decade, insurance companies have reduced their bond holdings in favour of equity. Rather than an active reallocation of assets, this partially reflects second-round effects related to the strong equity market growth and the rise in bond yields and corresponding decline in bond valuations against the backdrop of the ECB rate hikes in 2022 and 2023. Higher yields have also coincided in recent years with a stronger focus by banks on issuance in shorter maturities, rather than the longer maturities traditionally favoured by insurance companies. This has been particularly noteworthy for covered bonds.

We don't expect the Solvency II revisions to reverse this trend, particularly as the amendments promote long-term equity investments. Instead, for most bank bonds, the spread-risk capital treatment remains broadly unchanged. Unsecured and subordinated bank bonds continue to be treated as corporate bonds with capital charges determined by their ratings and duration, while qualifying covered bonds keep their preferential treatment. The impact of the Solvency II revisions therefore arises mainly indirectly through lower overall capital requirements, while securitisations are the only debt instruments benefiting directly through a more favourable capital treatment.

Nonetheless, certain reforms are worth highlighting for their potential impact on insurance demand for different bank bonds. Among these, the amendments relating to

long-term equity investments, securitisations and the volatility adjustment are particularly noteworthy.

Insurance companies increase equity versus debt exposures (€bn)



Source: EIOPA, ING

1

Long-term equity investments and non-life liquidity buffers

Under Solvency II, insurance companies can classify part of their equity holdings as **long-term equity investments (LTEI)**, benefiting from a lower 22% capital charge. To qualify, these investments must be held for at least five years, be listed in the EEA or OECD, meet diversification standards and be managed under a long-term investment policy. The insurer must also be able to avoid forced sales for five years, even under stressed conditions.

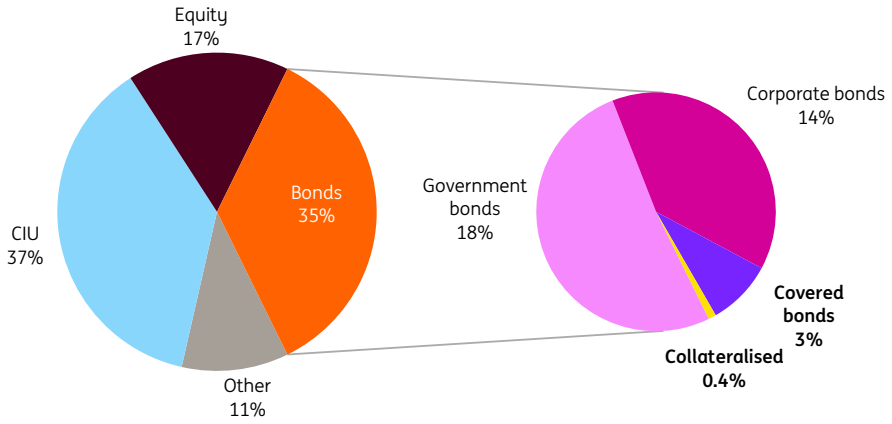
The Solvency II amended Delegated Regulation introduces two approaches to demonstrate that forced equity sales can be avoided. 1) The insurer must either have sufficient illiquid homogeneous life insurance liabilities with a duration of more than 9.5 years or a liquidity buffer exceeding 100% for non-life insurance obligations. 2) The insurer can also apply a forced-selling test to prove that it can generate cash inflows that are consistently higher than the cash outflows over five years, including under stress.

The **liquidity buffer requirements** for non-life insurance activities are similar to the Liquidity Coverage Ratio (LCR) requirements for banks. The portfolio of liquid assets can comprise Level 1, Level 2A and Level 2B assets, with the total value of Level 2A and Level 2B assets capped at 40% and the value of the Level 2B assets at 15%.

- Qualifying **Level 1 assets**, subject to a 0% haircut, are cash, exposures to the ECB, multilateral development banks and international organisations, and domestic currency exposures to EEA central governments and central banks.
- Qualifying **Level 2A assets**, subject to a 15% haircut, are bonds and loans rated AA- or better that are not issued by an insurance company or bank, and covered bonds rated AA- or better as referred to in Article 3(1) of the European Covered Bond Directive (CBD) (ie 'European Covered Bonds').
- Qualifying **Level 2B assets**, subject to a 25% haircut, are Simple, Transparent and Standardised (STS) securitisations (not originated by group entities) rated AA- or better or that constitute a senior tranche; or subject to a 50% haircut, bonds and loans rated A+ to BBB- that are not issued by an insurance company or bank, and equity investments listed in the EEA or OECD, or traded on multilateral trading facilities, that are not long-term or strategic equity investments and are not investments in an insurance company or bank.

While unsecured bank bonds are excluded as eligible liquid assets, the LTEI-related liquidity buffer approach could generate some additional demand for covered bonds or STS securitisations of banks. However, we don't expect this effect to be significant given the relatively small share of non-life insurance obligations and insurers' sizeable existing portfolios of other liquid assets, such as government bonds.

Insurers have limited investments in covered bonds or collateralised securities



Source: EIOPA, ING

The LTEI liquidity approach is separate from the generic liquidity and concentration risk management requirements under Solvency II, as well as from the obligation under the amended Solvency II Directive to provide for a liquidity risk management plan.

2

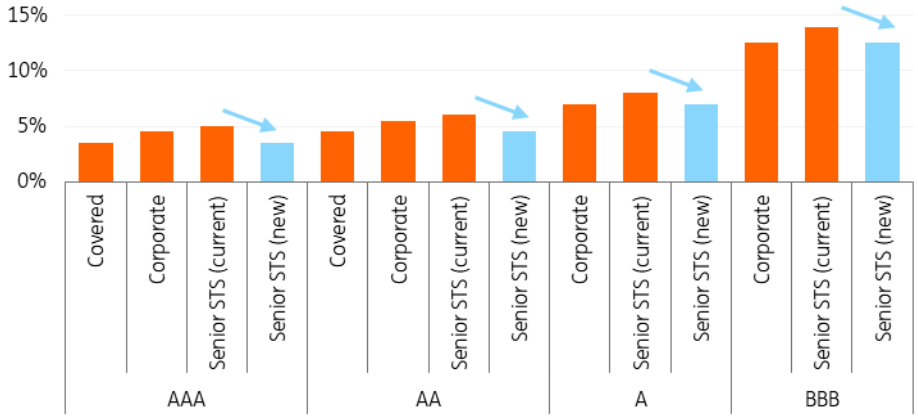
Lower capital requirements for securitisations

The amended Solvency II Delegated Regulation lowers the capital requirements for securitisation notes. This should encourage insurers to invest more in these transactions, helping banks to transfer risk and expand lending.

- The risk factors (a_i and b_i) for the spread risk of senior tranches of STS securitisations will become fully aligned with the treatment of similarly rated covered bonds as referred to in CBD Article 3(1).
- The risk factors for non-senior STS securitisations are reduced to a similar extent, with the new capital charges for AAA-rated non-senior notes at c.70% of the current capital charge, and for AA-rated non-senior notes at 75% of the current requirement.
- The difference in the capital treatment between STS and non-STS securitisations is currently far more significant for insurers than for banks. This difference will be reduced substantially, while the capital charge remains capped at 100%.
- The current Solvency II regime makes no distinction between senior and non-senior non-STS securitisation notes, exaggerating the spread risk of senior compared with non-senior tranches. Hence, lower risk factors are introduced for senior non-STS compared to non-senior non-STS transactions.

As a result of these amendments, the difference in capital requirements between CBD-compliant covered bonds and senior STS securitisations will disappear from the end of January, while in the highest rating buckets (AAA and AA) securitisations will be treated better than unsecured bonds or third-country covered bonds. Further down the rating scale, STS securitisations will be treated comparably to unsecured bonds from a capital perspective, where corporate and bank unsecured bonds now benefit from a more favourable capital charge compared to similarly rated senior STS securitisations.

Securitisation alternatives will become more competitive from a capital perspective



Source: European Commission, ING

European insurance companies currently hold only about €37bn in collateralised debt, such as asset-backed securities (ABS) and residential mortgage-backed securities (RMBS). This is only 12% of what they hold in covered bonds and 3% of their corporate debt portfolio.

The Solvency II amendments may motivate insurance companies to diversify their debt portfolios a bit further away from covered bonds and other bank bond products towards securitisations. However, the impact is not expected to be substantial given that the weighted average lives of securitisation notes may not always be well suited to the longer-term investment needs of insurance companies.

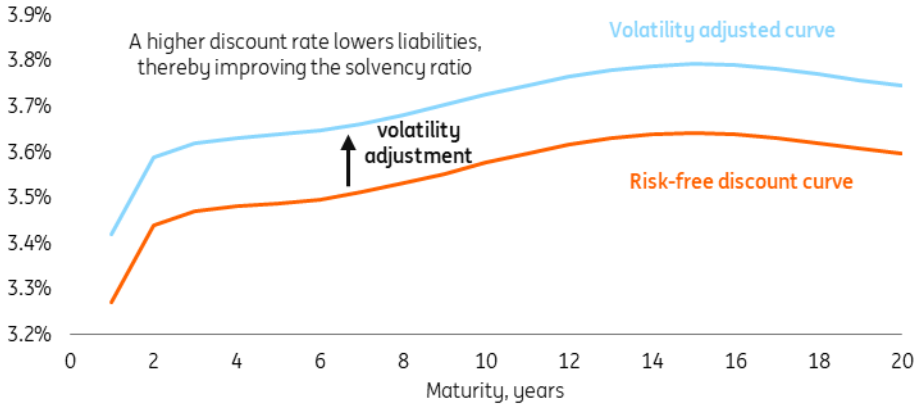
3

Volatility adjustment to align spread sensitivities more closely

Insurance companies calculate the best estimate of their liabilities by discounting the expected future liability cash flows using the relevant risk-free interest rate term structure. To mitigate the balance sheet impact of bond spread volatility (ie, on the asset side of their balance sheet), insurance companies can discount their liabilities at the risk-free rate plus a volatility adjustment (VA).

The volatility adjustment increases the discount rate

Spot rate, %



Source: EIOPA, ING

For each relevant currency (or national market in the case of the euro area), the volatility adjustment represents 65% of the spread (S) between the interest rate on the reference portfolio and the relevant risk-free interest rate, adjusted for a risk correction (RC). The latter correction factor removes the part of the spread that is attributable to expected losses or unexpected credit or other risks to the assets. The volatility

adjustment is only added to the applicable risk-free interest rates that are not derived from extrapolation.

For each relevant country, a country-specific adjustment may also be added to the volatility adjustment before the application of the 65% factor if a) the risk-corrected country spread is more than twice the risk-corrected currency spread, and b) the risk-corrected country spread is more than 85bp. The country component in the volatility adjustment helps mitigate excessive widening in specific countries.

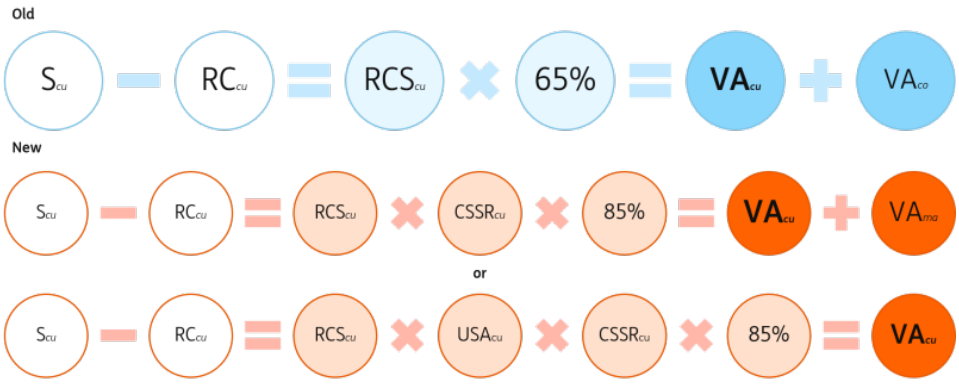
Under the current regime, the representative currency and country portfolios are constructed as uniform portfolios, even though insurers' actual fixed-income portfolios may differ substantially. Some insurers can therefore benefit excessively from the volatility adjustment if the resulting reduction in the best estimate of their liabilities exceeds the decline in the value of the relevant assets when credit spreads widen.

For this reason, the Solvency II revisions change the calculation of the volatility adjustment by a) making the applicable risk corrections (RC) more spread-sensitive, and b) introducing a credit spread sensitivity ratio (CSSR) to better align the volatility adjustment with the insurer's asset-liability profile. The latter ratio reflects the price value of a basis point of the insurer's bond, securitisation and loan investments versus the price value of a basis point of the best estimate of liabilities, with a minimum of 0 and a maximum of 1.

Moreover, subject to approval by the supervisory authority, an undertaking-specific adjustment (USA) of up to 105% may be applied to align the risk-corrected spread on the reference portfolio more closely with that of the insurer's own portfolio. This must not lead to an increase in the applied risk-adjusted spread for more than two consecutive quarters. Moreover, when the USA is used, the insurer cannot also increase the volatility adjustment through a macro volatility adjustment.

The macro volatility adjustment replaces the existing country-specific adjustment and can be added to the euro volatility adjustment when the relevant conditions are met. It aims to mitigate the impact of excessive spread widening in individual euro area countries and is based on the difference between the risk-corrected euro spread and the risk-corrected spread for the relevant country.

Volatility adjustment calculations



Subscripts cu = currency, co = country, ma = macro; VA = volatility adjustment, S = spread of the reference portfolio, RC = risk correction, RCS = risk-corrected spread of the reference portfolio, CSSR = credit spread sensitivity ratio, USA = undertaking-specific adjustment.
Source: European Commission, ING

The introduction of additional minimum conditions, such as supervisory approval and the availability of adequate processes to calculate the volatility adjustment, has also facilitated the upward revision of the general application ratio (GAR) from 65% to 85%.

Primarily through the introduction of the credit spread sensitivity ratio (CSSR), the volatility adjustment will better reflect the relationship between each insurer's asset and liability sensitivity to changes in the volatility adjustment. The revision may provide modest support for bonds that increase the asset portfolio's spread sensitivity, as a higher CSSR results in a larger volatility adjustment until the ratio reaches its cap of one. The revised calculations should also reduce the possibility for some insurers to benefit disproportionately from the volatility adjustment when their assets are less spread-sensitive than the reference portfolio.

Conclusion

The Solvency II amendments are unlikely to trigger a material reallocation in favour of bank bonds. Securitisations are the most obvious beneficiaries of a more favourable capital treatment, while covered bonds and unsecured bank bonds should mainly benefit indirectly from lower overall capital requirements for insurers. We therefore expect the revisions to only support insurer demand for bank bonds at the margin.

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